AUDITED FINANCIAL STATEMENTS - FISCAL YEAR 2024
REPORT OF INDEPENDENT AUDITORS
To the Board of Directors and Stockholders of the Company: We have audited the accompanying consolidated financial statements of the Company and its subsidiaries, which comprise the consolidated balance sheet as of December 31, 2024, and the related consolidated statements of operations, comprehensive income, changes in stockholders' equity and cash flows for the year ended December 31, 2024, and the related notes to the consolidated financial statements (collectively, the "financial statements").
In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Company as of December 31, 2024, and the results of its operations and its cash flows for the year ended December 31, 2024, in conformity with accounting principles generally accepted in the United States of America.
Basis for Opinion. We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.
Responsibilities of Management for the Financial Statements. Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the financial statements are available to be issued.
Auditor's Responsibilities for the Audit of the Financial Statements. Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.
In performing an audit in accordance with GAAS, we exercised professional judgment and maintained professional skepticism throughout the audit. We also: identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error, and designed and performed audit procedures responsive to those risks, obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control, evaluated the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, and evaluated the overall presentation, structure, and content of the financial statements.
We are required to communicate with those charged with the Company's governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and, where applicable, related safeguards.
Critical Audit Matter. The critical audit matter communicated below is a matter arising from the current-period audit of the financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective, or complex judgments. The communication of the critical audit matter does not alter in any way our opinion on the financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on this matter. The assessment of goodwill for impairment is a critical audit matter because it required especially subjective and complex auditor judgment in evaluating management's estimates and the disclosures made in the notes to the financial statements.
How the Critical Audit Matter Was Addressed in the Audit. Our audit procedures related to the goodwill impairment assessment included, among others: testing the design and operation of controls over management's review of the reporting unit's discounted cash flow model; evaluating the reasonableness of the significant assumptions used in the model, including the discount rate, the long-term revenue growth rate, and projected operating margins, by comparison to historical results and to independently developed ranges; testing the mathematical accuracy of the model and the reconciliation of the sum of the estimated fair values of the Company's reporting unit and its other assets and liabilities to the Company's aggregate enterprise value under the capital structure described in Note 6; and evaluating the sufficiency of the disclosures made in Note 5.
Emphasis of Matter and Auditor Tenure. As discussed in Note 9, the Company is a party to certain legal proceedings and other contingencies arising in the ordinary course of business, the ultimate outcome of which cannot presently be

determined. Our opinion is not modified with respect to this matter.

We have served as the Company's auditor since the Refinancing described in Note 6, and this report is intended solely for the information and use of the Board of Directors, management, the holders of the Senior Notes, the lenders and administrative agent under the Credit Agreement, and the trustee under the indenture governing the Senior Notes, and is not intended to be, and should not be, used by anyone other than these specified parties.

Our opinion covers the fiscal year presented in these financial statements only. The comparative prior-year financial statements were also audited by us, consistent with our tenure as the Company's auditor described above, and our opinion on those comparative financial statements, expressed in our report for that prior fiscal year, was unmodified.

Report on Other Legal and Regulatory Requirements. We have no responsibility to update this report for events and circumstances occurring after the date of this report, other than as required by the auditing standards referenced above. The Company is not required by law or regulation to file these financial statements with the Securities and Exchange Commission or with any other securities regulator, and our report is accordingly not prepared for filing with, and is not intended to satisfy the requirements of, any such regulator; it is prepared solely to satisfy the reporting covenants of the indenture governing the Senior Notes described in Note 6 and, by cross-reference, the Credit Agreement.

Basis for the Determination of Materiality. In planning and performing our audit, we applied the concept of materiality in accordance with the auditing standards referenced above, under which misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user of these financial statements, including a holder of the Senior Notes or a lender under the Credit Agreement, based on the financial statements. We used this materiality determination, together with our assessment of the risks of material misstatement, to determine the nature, timing, and extent of our audit procedures and to evaluate the effect, individually and in the aggregate, of misstatements, if any, identified during our audit on the financial statements as a whole.

DESCRIPTION OF BUSINESS AND ORGANIZATION

The Company is a privately held industrial manufacturer, controlled by a private equity sponsor, engaged principally in the manufacture and sale of its core product lines to industrial and commercial customers throughout the United States. During the current fiscal year the capacity-expansion program at the Company's primary manufacturing facility, described in Note 4, reached substantial completion, enlarging the site's owned footprint and integrating the added production lines into the facility's existing operations. The Company continues to operate its ancillary distribution and warehousing locations, including the principal distribution warehouse whose lease was amended and extended during the year, and conducts its business as a single operating unit for purposes of internal management reporting and resource allocation, as described further in Note 12.

The Company's common equity is held by investment vehicles controlled by its sponsor and by members of Company management; the Company has no publicly traded common stock and is not required to, and does not, present earnings per share information in these financial statements. The Company's outstanding Senior Notes, described in Note 6, are the Company's only security registered for resale under an exemption from the registration requirements of the Securities Act of 1933. Because the current fiscal year is the first full year following the Refinancing described in Note 6, the Company's periodic financial and operating reports to the trustee under the indenture now cover four full fiscal quarters rather than the partial year covered when the reporting covenants first took effect; the Company remains a non-SEC-reporting company.

These financial statements present the Company's financial position as of December 31, 2024 and its results of operations and cash flows for the year ended December 31, 2024, the first annual period presenting a full twelve months of activity under the capital structure put in place in the Refinancing described in Note 6. The notes that follow accordingly reflect a year in which several matters were resolved or completed rather than merely disclosed as pending: the capacity-expansion program described in Note 4 reached substantial completion, a customer contract claim referenced in Note 9 that had been arising as of the prior year end was settled, and the Company's principal distribution warehouse lease was amended and extended. Unless the context otherwise requires, references in these notes to 'the Company' mean the Company and its consolidated subsidiaries, taken as a whole.

Facilities and Employees

The Company owns its primary manufacturing facility, the footprint of which increased during the year as the capacity-expansion program described in Note 4 reached substantial completion, and leases its distribution and warehouse locations, including the principal distribution warehouse under the amended and extended lease described in Note 7, and its corporate office space. Hiring associated with the expansion program concluded during the year, and the Company's workforce of hourly production and maintenance personnel at its manufacturing facility and salaried personnel in sales, engineering, finance, and general administrative functions accordingly stabilized at the staffing level needed to operate the enlarged facility. None of the Company's employees are represented by a labor union, and the Company considers its relations with its employees to be good.

The Company's corporate headquarters and administrative functions are co-located with its primary manufacturing facility. With the capacity-expansion program described in Note 4 substantially complete, the permits and approvals applicable to the expanded operations were in force for the entirety of the current fiscal year, rather than being obtained in stages as construction progressed, as had been the case in the prior fiscal year. The Company's real property, whether owned or leased, is, in management's opinion, in good operating condition and adequate for the

Company's operations as actually conducted during fiscal 2024, including the additional production capacity brought into service at the primary manufacturing facility during the year.

History and Ownership

The Company's ownership and capital structure did not change during fiscal 2024; the Company continued to be controlled by the same equity sponsor, and its debt capital structure continued to consist of the instruments put in place in the Refinancing described in Note 6.

This is the first full fiscal year following the Refinancing, which was completed midway through the prior fiscal year. Management's discussion of the Company's business and results throughout these notes accordingly compares the current year, a full twelve months under the Company's current capital structure, to a prior year that reflected that structure for only a portion of the year. Readers comparing period-over-period trends elsewhere in these notes, including the condensed statement of operations excerpt above and the interest expense detail in Note 6, should bear this partial-year effect in mind when drawing a comparison to the prior fiscal year.

Basis of Reporting to Noteholders

In addition to delivering these audited annual financial statements to the trustee under the indenture governing the Senior Notes, the Company furnished unaudited quarterly financial information to the trustee, and through the trustee to holders of the Senior Notes, for all four full fiscal quarters of the current year, consistent with the reporting covenants of the indenture; the prior fiscal year's equivalent covenant applied for only a portion of the year following the Refinancing described in Note 6. The quarterly information furnished under that covenant is prepared on a basis consistent with these annual financial statements, but is not audited or reviewed by the Company's independent auditors.

The Company also furnished an annual compliance certificate to the administrative agent under the Credit Agreement, and periodic compliance certificates to the trustee under the indenture, each computing the Company's compliance with the financial covenants applicable to the relevant instrument over a full four-quarter test period for the first time since the Refinancing described in Note 6, rather than the shorter, partial-year measurement period applicable in the prior fiscal year. Those compliance certificates are prepared by management using the defined terms of the relevant governing document, are not audited or reviewed by the Company's independent auditors, and are not part of, or incorporated by reference into, these financial statements.

Industry and Competitive Environment

The Company competes with a number of other manufacturers, ranging from large diversified industrial companies to smaller regional competitors, on the basis of product quality, price, delivery performance, and customer service. The additional capacity brought into service as the expansion program described in Note 4 reached substantial completion allowed the Company to accommodate the increased order volume associated with the renewed multi-year supply agreement described in Note 2, without adding a competing use of capacity that would have constrained service to the Company's other customers. The Company's principal raw materials continue to be sourced from a number of suppliers, and management does not consider the Company to be dependent on any single supplier for a material portion of its raw material requirements.

The Company does not hold any patent, trademark, or other intellectual property right that management considers material to the Company's ability to conduct its business, other than the trade names described in Note 5. Unlike the prior fiscal year, the Company depended during fiscal 2024 on a single customer contract for a material portion of its revenue: one customer that had not individually exceeded a reportable concentration threshold in the prior year grew, through a combination of organic volume increase and a renewed multi-year supply agreement, to represent a concentration requiring separate disclosure under ASC 280, as described further in Note 2 and Note 12. Management continues to monitor that concentration, including the customer's performance under its renewed supply agreement, as part of the Company's ordinary course credit and commercial risk review.

Products and Manufacturing Process

The Company designs and manufactures its core product lines using a combination of automated and manually operated production equipment at its primary manufacturing facility, employing a batch-and-finish production process that begins with the raw materials described in Note 3 and proceeds through fabrication, assembly, and quality inspection before finished goods are released to inventory for shipment. The production equipment added under the capacity-expansion program described in Note 4 was placed into service and integrated into this process during the year as the program reached substantial completion, and the Company's engineering function incorporated the added equipment's specifications into its existing quality standards; the additional equipment is depreciated on the useful-life schedules established when each asset was placed in service, as described in Note 4.

Customers and Distribution

The Company's customer base consists principally of industrial and commercial end users that purchase the Company's products for use in their own operations, together with the independent distributor network described in Note 2. During the third quarter of the current fiscal year, the Company amended and extended the lease for its principal distribution warehouse during the third quarter, which was accounted for as a lease modification under ASC 842 and remeasured using the Company's incremental borrowing rate at the modification date, extending the term of the Company's principal distribution location without changing the Company's sales function, which remains organized regionally within the United States consistent with the geographic information presented in Note 12. The Company does not maintain a separate export sales function, consistent with the immaterial level of revenue

generated outside the United States disclosed in that Note.

Seasonality and Cyclicality of Demand

Demand for the Company's products correlates with broader industrial production activity and with the capital spending plans of the Company's customer base, both of which can be cyclical; the Company's own revenue also exhibits the modest within-year seasonal pattern described in Note 15. The customer concentration that arose during the current fiscal year, described in Note 2 and Note 12, made that single customer's own ordering pattern, including its scheduled volumes under its renewed multi-year supply agreement, a more material input to the Company's within-year demand profile than in the prior fiscal year. Management considered this development, together with the additional capacity available following the substantial completion of the expansion program described in Note 4, in preparing the operating budget referenced in Note 12's discussion of resource allocation for fiscal 2024.

Regulatory Environment Applicable to the Company's Operations

The Company's operations are subject to the environmental, health and safety regulatory framework described in Note 19, general product safety and product liability standards applicable to industrial manufacturers, and, with respect to the Industrial Revenue Bonds described in Note 6, the continuing disclosure obligations administered through the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system. The environmental and operating permits applicable to the expanded production capacity brought into service as the program described in Note 4 reached substantial completion were in force for the entirety of the current fiscal year, rather than being phased in as construction progressed, as was the case in the prior fiscal year. The Company remains subject to no specialized industry regulatory regime beyond the generally applicable frameworks described above.

Governmental and Trade Association Relationships

The Company is a member of one or more trade associations representing manufacturers in its industry, through which management monitors proposed regulatory and legislative developments relevant to the Company's operations. Following the substantial completion of the capacity-expansion program described in Note 4, the Company's benchmarking submissions to those associations, of the type referenced in Note 19's discussion of safety performance metrics, reflected for the first time a full year of activity at the enlarged manufacturing facility footprint rather than a facility that was partly under construction. Apart from that change in the underlying operating base being measured, the Company's participation in these trade associations did not change materially during fiscal 2024.

Research, Development and Engineering

The Company maintains an engineering function, referenced in the Products and Manufacturing Process section above, that is responsible for product specification, quality standards, and continuous improvement of the Company's manufacturing process. The engineering support the function provided to the capacity-expansion program described in Note 4 concluded during the year as that program reached substantial completion, and the function's effort returned in full to its steady-state focus on the existing product lines. The Company does not operate a separately budgeted, discrete research and development function of the type that would be separately disclosed under ASC 730, Research and Development, and the costs of the Company's engineering function, including the concluded expansion-support effort, are included within cost of goods sold and selling, general and administrative expense based on the nature of the work performed.

Quality Assurance and Certifications

The Company maintains a quality management system applicable to its manufacturing operations, consistent with the quality standards described in the engineering function's role above, and holds the third-party quality management system certification customary for manufacturers serving the Company's industrial and commercial customer base. The certifying body's surveillance audit during the current fiscal year, for the first time, examined the production lines brought into service under the capacity-expansion program described in Note 4, in addition to the Company's pre-existing operations, following that program's substantial completion. The Company maintained its certification in good standing throughout fiscal 2024, without a finding that required a material corrective action with respect to either the pre-existing or the newly expanded operations.

Properties Not Otherwise Described

In addition to the primary manufacturing facility and the leased distribution, warehouse, and corporate office locations described above and in Note 7, the Company does not own or lease a material property not otherwise described in these financial statements, and does not lease or own property outside the United States, consistent with the geographic information presented in Note 12. With the capacity-expansion program described in Note 4 having reached substantial completion during the year, management believes the Company's properties, taken as a whole and including the enlarged owned footprint at the primary manufacturing facility and the amended and extended principal distribution warehouse lease described in Note 7, are suitable and adequate for the Company's operations as actually conducted, rather than for operations only contemplated for the near term.

Insurance Program Overview

The Company's overall insurance program, described further in Note 9, combines commercially placed coverage for property, general liability, product liability, and directors' and officers' liability risk with self-insured retentions for workers' compensation and a portion of employee group health risk. In connection with the substantial completion of the capacity-expansion program described in Note 4, the Company increased its commercially placed property coverage limits at its policy renewal during the current fiscal year to reflect the higher insured value of the enlarged primary manufacturing facility, replacing the builder's risk coverage that had applied to the facility while under

construction. Management did not make any other material change to the allocation between commercially placed coverage and self-insurance during fiscal 2024.

Information Technology Infrastructure

The Company's information technology infrastructure supports the manufacturing operations, order processing, and financial reporting functions referenced in Note 18's discussion of information systems and cybersecurity risk, and is operated by a combination of Company personnel and third-party service providers, including the plan recordkeeper described in Note 11 and the pricing service described in Note 13. During the current fiscal year, the Company extended its information technology infrastructure, including production data capture, to the additional equipment and production lines brought into service as the capacity-expansion program described in Note 4 reached substantial completion, and did not identify a material infrastructure gap in doing so during fiscal 2024.

The following excerpts present the line items from the Company's consolidated financial statements for fiscal 2024 that are most directly relevant to the notes that follow. Fiscal 2024 is the first full fiscal year in which the Company's results reflect twelve complete months of interest expense on the capital structure established in the Refinancing described in Note 6, a difference the reader should bear in mind when comparing the line items excerpted below to the partial-year amounts an excerpt for fiscal 2023 presents. They are excerpts, not the full financial statements, and are presented here for the reader's convenience; the full consolidated financial statements, including all line items not reproduced below, are available from the Company on request by any person entitled to receive them under the reporting covenants of the indenture governing the Senior Notes described in Note 6.

CONSOLIDATED STATEMENT OF OPERATIONS (EXCERPT)

Line item	Fiscal Year 2024
Consolidated Net Income	8,704,000.00
Add: Provision for income taxes	2,870,000.00
Add: Consolidated Interest Expense	14,537,000.00
Add: Depreciation and amortization expense	9,537,000.00

The line items above are presented on the same basis as, and are the direct GAAP inputs to, the Credit Agreement's Consolidated EBITDA definition (Article I, clause preceding the addback list); this statement does not itself compute Consolidated EBITDA, which is a defined term of the Credit Agreement, not of these financial statements. Fiscal 2024 is also the first year in which this same GAAP EBITDA build is put to a second use: having adopted ASU 2023-07 during the year, the Company now discloses Consolidated EBITDA as its measure of segment profit or loss in Note 12, so a reader consulting that Note encounters the identical addback sequence shown here. Consolidated Net Income increased by the three addback lines above sums to a GAAP EBITDA measure of 35,648,000.00 for fiscal year 2024, before any of the further addbacks the Credit Agreement's definition separately permits.

A reader building a three-fiscal-year trend of the GAAP inputs to Consolidated EBITDA - the exercise this excerpt exists to support - draws the fiscal 2024 row of that trend from the Income Statement (three-year EBITDA-build trend, FY2024 comparative) presented immediately above, together with the corresponding excerpt in the Company's financial statements for each of the other two fiscal years. That row is the first row in the trend to carry a full twelve months of interest expense on the Refinancing described in Note 6; the fiscal 2023 row carries only the partial year following the June 2023 closing, so a reader who compares the two years' interest-expense lines without adjusting for that timing difference will overstate the year-over-year increase attributable to the Company's underlying operations. No single fiscal year's excerpt, on its own, presents the full three-year trend.

CONSOLIDATED BALANCE SHEET (EXCERPT)

Assets	Fiscal Year 2024
Cash and cash equivalents	9,067,000.00
Trade accounts receivable, net of allowance for credit losses	13,699,000.00
Inventory, net	9,465,000.00
Prepaid expenses and other current assets	3,009,000.00
Total current assets	35,240,000.00
Property, plant and equipment, net	38,426,000.00
Operating lease right-of-use assets	7,263,000.00
Goodwill	18,602,000.00
Intangible assets, net	7,972,000.00
Investments	10,278,000.00
Other noncurrent assets	214,273,000.00
Total assets	332,054,000.00

Liabilities and Stockholders' Equity	Fiscal Year 2024
Accounts payable and accrued liabilities	15,057,000.00
Current portion of operating lease liabilities	1,782,000.00
Accrued interest payable	1,308,000.00
Total current liabilities	18,147,000.00
Senior Notes, net of unamortized debt issuance costs	173,448,000.00
Revolving credit facility	12,000,000.00

Industrial Revenue Bonds	24,500,000.00
Noncurrent operating lease liabilities	5,070,000.00
Deferred tax liability, net	6,296,000.00
Total liabilities	239,461,000.00
Total stockholders' equity	92,593,000.00
Total liabilities and stockholders' equity	332,054,000.00

Similarly, the current-asset and current-liability lines of the Balance Sheet (three-year working-capital trend, FY2024 comparative) set out above are one fiscal year of the working-capital trend a reader would assemble across the Company's audited balance sheets for each of the three fiscal years presented in these financial statements and the two preceding sets of audited financial statements. Two movements distinguish the fiscal 2024 row from the prior year's: raw material inventory fell back from the elevated level the Company carried while commissioning the capacity-expansion program described in Note 4, and the composition of trade accounts receivable shifted toward the single customer described in Note 2, whose renewed multi-year supply agreement carried it past the ten-percent revenue-concentration threshold during the year. Neither movement is visible from this excerpt alone; both require the detail in Notes 2 and 3.

CONSOLIDATED STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY (EXCERPT)

Roll-forward of stockholders' equity	Fiscal Year 2024
Balance, beginning of year	85,734,000.00
Consolidated Net Income for the year	8,704,000.00
Other comprehensive income (loss), net of tax	(509,000.00)
Distributions to the controlling equity sponsor	1,336,000.00
Balance, end of year	92,593,000.00

CONSOLIDATED STATEMENT OF CASH FLOWS (EXCERPT)

Summary of cash flow activity	Fiscal Year 2024
Net cash provided by operating activities	20,065,000.00
Net cash used in investing activities	(11,144,000.00)
Net cash provided by (used in) financing activities	(8,249,000.00)
Net increase (decrease) in cash and cash equivalents	672,000.00

The full consolidated balance sheet, statement of changes in stockholders' equity, and statement of cash flows, of which the excerpts above present only the line items most relevant to the notes that follow, are presented in their entirety elsewhere in the complete set of financial statements. Two effects of the capacity-expansion program reaching substantial completion during the year run through those full statements: net cash used in investing activities fell sharply as capital additions wound down, described in Note 4, while depreciation and amortization expense rose as the completed assets moved into service. Outstanding indebtedness as of period end, presented in full in Note 6 below, comprised the Senior Notes, borrowings under the revolving Credit Agreement, and the Industrial Revenue Bonds described in that note, each carried for a full twelve months for the first time this year.

A reader of the excerpts above should note that they present only the line items management believes are most directly relevant to the notes that follow, and are not a substitute for the Company's complete consolidated financial statements for fiscal 2024, which present each statement in full. Two matters a reader might expect to see reflected in these excerpted lines instead surface only in the notes that follow: the resolution during the year of the customer claim described in Note 9, and the goodwill impairment assessment that the Company's auditors identified as the critical audit matter for fiscal 2024 and that concluded with no impairment, described in Note 5. The complete financial statements present the comparative prior-year amounts alongside fiscal 2024 on the face of each primary statement, consistent with GAAP's general requirement to present comparative financial statements where practicable.

The order in which the notes that follow are presented - beginning with the significant accounting policies described in Note 1 and proceeding through the balance-sheet-oriented notes, the notes relating to the Company's indebtedness and liquidity, and the notes addressing matters not directly tied to a single balance sheet or income statement line item - follows the order customary for a privately held company's audited financial statements of this type. One note near the end of that sequence reads differently this year than it did in the Company's fiscal 2023 financial statements: having adopted ASU 2023-07 during the year, the Company's segment note, Note 12, now discloses Consolidated EBITDA as its measure of segment profit or loss, drawing on the same line items excerpted above rather than standing apart from them as it did before adoption.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

These consolidated financial statements present the financial position of the Company and its wholly owned subsidiaries, together with their results of operations and cash flows for the year ended December 31, 2024, in conformity with accounting principles generally accepted in the United States of America ('GAAP'). All intercompany balances and transactions have been eliminated in consolidation. Fiscal 2024 is the first full fiscal year to reflect a full twelve months of interest expense under the credit structure put in place in the mid-2023 Refinancing described in Note 6, rather than the partial year the Refinancing produced in the prior year. The Company's fiscal year is the

calendar year, and references in these notes to 'the year' or 'fiscal 2024' mean the twelve months ended on that date unless otherwise stated.

Principles of Consolidation

The consolidated financial statements include the accounts of the Company and each subsidiary in which the Company holds, directly or indirectly, a controlling financial interest. The Company has no variable interest entities requiring consolidation and holds no noncontrolling interest in any consolidated subsidiary.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Significant estimates include the allowance for credit losses, the valuation of inventory, the useful lives and recoverability of long-lived assets, the recoverability of goodwill and intangible assets, and the measurement of the Company's contingent liabilities described in Note 9. Actual results could differ materially from those estimates. Management re-evaluates its estimates and assumptions on an ongoing basis, using historical experience and other factors, including expectations of future events, that management believes to be reasonable under the circumstances existing at the time the estimate is made; the most significant of these estimates are discussed further in Note 17.

Cash and Cash Equivalents

The Company considers all highly liquid investments purchased with an original maturity of three months or less to be cash equivalents. Cash and cash equivalents are carried at cost, which approximates fair value given their short-term nature. The Company maintains its cash and cash equivalents in accounts with financial institutions that at times may exceed federally insured limits; the Company has not experienced any loss related to such accounts and does not believe it is exposed to any significant credit risk with respect to cash and cash equivalents, beyond the concentration discussion in the Concentration of Credit Risk section below. The Company held no restricted cash as of December 31, 2024.

Accounts Receivable and Allowance for Credit Losses

The Company adopted Accounting Standards Codification Topic 326, Financial Instruments - Credit Losses ('Topic 326' or 'CECL'), for all periods presented, consistent with the mandatory effective date for entities that are not eligible to be smaller reporting companies filing with the Securities and Exchange Commission. Under Topic 326's current expected credit loss model, the Company estimates an allowance for credit losses on trade accounts receivable at each reporting date based on historical collection experience, current economic conditions, and reasonable and supportable forecasts of future conditions, rather than waiting for a loss to be probable before recognizing it. The allowance is deducted from the amortized cost basis of accounts receivable to present the net amount expected to be collected. Trade accounts receivable are written off against the allowance when collection efforts have been exhausted and the amount is determined to be uncollectible.

Inventory

Inventory is stated at the lower of cost or net realizable value, with cost determined principally on a first-in, first-out basis. Net realizable value is the estimated selling price in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation. See Note 3 for further detail regarding inventory composition and reserves.

Property, Plant and Equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation. Depreciation is computed on a straight-line basis over the estimated useful lives of the related assets. Expenditures for maintenance and repairs are charged to expense as incurred, while expenditures for major renewals and betterments that extend the useful life of an asset are capitalized. See Note 4 for further detail.

Business Combinations

The Company accounts for a business combination, were it to enter into one, under the acquisition method ASC 805, Business Combinations, prescribes, recognizing identifiable assets acquired and liabilities assumed at their acquisition-date fair values and recognizing as goodwill any excess of the consideration transferred over those net assets. No business combination was completed during fiscal 2024; consistent with the capacity-expansion program reaching substantial completion this year as described in Note 4, the Company continued to pursue growth through internally funded capital investment rather than through acquisition, and the goodwill and intangible assets Note 5 describes arose entirely from business combinations completed in periods before those these financial statements present.

Goodwill and Intangible Assets

Goodwill is not amortized but is tested for impairment at least annually, as of the Company's annual testing date, and more frequently if events or changes in circumstances indicate that the carrying amount of a reporting unit may exceed its fair value. Intangible assets with finite lives are amortized on a straight-line basis over their estimated useful lives and are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. See Note 5.

Investments

The Company's investment portfolio consists of corporate and municipal debt securities. Investment securities are

carried in accordance with GAAP, with unrealized holding gains and losses, where applicable, recognized in a manner consistent with the securities' measurement category. The Company evaluates its debt securities for credit losses under the applicable impairment model in Topic 326 at each reporting date; any credit-loss component identified is recognized through earnings, with the remaining non-credit component, if any, recognized as otherwise required for the measurement category involved. The specific measurement category applicable to each class of the Company's debt securities, and the resulting fair value and credit-loss detail, is described in the notes to the Company's most recently issued annual financial statements.

Concentration of Credit Risk

Financial instruments that potentially subject the Company to concentrations of credit risk consist principally of cash and cash equivalents, the investment portfolio described above, and trade accounts receivable. The Company maintains its cash and cash equivalents with financial institutions that management believes to be of high credit quality, and the investment portfolio is subject to the Company's investment policy, which limits the amount of credit exposure to any single issuer or counterparty. Concentrations of credit risk with respect to trade accounts receivable, and the Company's customer base generally, are further described in Note 2.

Advertising Costs

Advertising and promotional costs are expensed as incurred and are included within selling, general and administrative expense. Such costs were not material to the Company's results of operations for fiscal 2024.

Environmental Remediation Costs

The Company accrues for environmental remediation-related costs when such costs are probable and can be reasonably estimated, in accordance with ASC 410-30. Estimates of the extent of the Company's environmental liabilities, if any, are typically based on evaluations of currently available information, existing technology, and presently enacted laws and regulations, and are subject to revision as further information becomes available. See Note 9 for further detail regarding the Company's environmental matters, if any, during the year.

Product Warranty

The Company provides for the estimated cost of product warranties, where applicable, at the time revenue is recognized, based on historical warranty claim experience. Adjustments to the resulting warranty liability are recorded when actual claim experience differs from previous estimates.

Revenue Recognition

The Company recognizes revenue when control of promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those goods or services, in accordance with ASC 606, Revenue from Contracts with Customers. See Note 2 for further detail regarding the Company's application of the five-step revenue model and its contract balances.

Leases

The Company determines whether an arrangement is or contains a lease at inception in accordance with ASC 842, Leases. Right-of-use assets and lease liabilities are recognized for operating and finance leases with an initial term greater than twelve months, measured at the present value of the remaining lease payments using the rate implicit in the lease or, when that rate is not readily determinable, the Company's incremental borrowing rate. See Note 7 for further detail, including the maturity analysis of the Company's lease liabilities.

Fair Value Measurements

The Company measures certain assets and liabilities at fair value on a recurring basis using the three-level fair value hierarchy established under ASC 820, Fair Value Measurement: Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities; Level 2 inputs are observable inputs other than quoted prices, including quoted prices for similar instruments; and Level 3 inputs are unobservable and reflect the Company's own assumptions about the assumptions market participants would use in pricing an asset or liability. The fair value hierarchy prioritizes the inputs to valuation techniques used to measure fair value into these three levels, and gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs; the Company maximizes the use of observable inputs and minimizes the use of unobservable inputs when measuring fair value. See Note 13 for the Company's fair value disclosures.

Income Taxes

The Company accounts for income taxes under the asset and liability method, under which deferred tax assets and liabilities are recognized for the estimated future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, and for net operating loss and tax credit carryforwards. Deferred tax assets are reduced by a valuation allowance if, based on the weight of available evidence, it is more likely than not that some portion or all of the deferred tax asset will not be realized. See Note 8 for further detail.

Comprehensive Income

Comprehensive income consists of Consolidated Net Income and other comprehensive income (loss), net of tax, which for the Company consists principally of unrealized holding gains and losses on the investment portfolio described above that are recognized outside of earnings under the measurement category applicable to those securities, together with the noncredit component of any credit-loss evaluation performed under Topic 326 that is also recognized outside of earnings. Amounts recognized in other comprehensive income are reclassified into earnings when realized, consistent with the requirements of ASC 220, Income Statement - Reporting Comprehensive Income.

Foreign Currency
The Company's functional currency, and the reporting currency for these financial statements, is the United States dollar. Substantially all of the Company's operations, assets, and transactions are denominated in United States dollars; the Company does not have material foreign currency-denominated assets, liabilities, or transactions, and did not recognize a material foreign currency gain or loss during fiscal 2024.

Software and Internal-Use Software Costs
The Company capitalizes certain costs incurred in connection with developing or obtaining internal-use software during the application development stage, in accordance with ASC 350-40, Internal-Use Software, and amortizes those costs on a straight-line basis over the software's estimated useful life once the software is ready for its intended use. Costs incurred during the preliminary project stage and post-implementation stage, including training and maintenance costs, are expensed as incurred. Capitalized internal-use software costs are included within property, plant and equipment in the Company's consolidated balance sheet.

Shipping and Handling Costs
Shipping and handling costs billed to customers are included in revenue, and the associated costs incurred by the Company are included in cost of goods sold, consistent with the Company's election, described in Note 2, to account for shipping and handling activities performed after control of a product has transferred to the customer as a fulfillment cost rather than as a separate performance obligation.

Fair Value Option
The Company has not elected the fair value option available under ASC 825, Financial Instruments, for any eligible financial asset or financial liability, including the Senior Notes, the borrowings under the Credit Agreement, and the Industrial Revenue Bonds described in Note 6; each of those instruments is accounted for as described in Note 6 and Note 13 rather than at fair value through earnings.

Held-for-Sale Classification
The Company classifies a long-lived asset or disposal group as held for sale when the criteria in ASC 360-10-45-9 are met, including that management, having the authority to approve the action, has committed to a plan to sell the asset or disposal group and the sale is probable within one year. The Company had no asset or disposal group classified as held for sale as of December 31, 2024, and accordingly recognized no held-for-sale measurement adjustment and no discontinued operation during any period presented in these financial statements, consistent with Note 14.

Earnings Per Share
The Company does not present earnings per share information in these financial statements, consistent with the Description of Business and Organization section above, because the Company has no publicly traded common stock and is accordingly not within the scope of ASC 260, Earnings Per Share, which applies only to entities with publicly held common stock or potential common stock.

Segment Reporting Policy - Cross-Reference
The Company's policy for determining its operating and reportable segments, and the disclosures applicable to that determination, are described in Note 12 rather than in this Note, consistent with the Company's practice throughout these notes of locating a policy discussion together with the substantive disclosure it supports rather than duplicating it in both places.

Recently Adopted Accounting Pronouncements
In September 2022, the FASB issued ASU 2022-04, Liabilities - Supplier Finance Programs: Disclosure of Supplier Finance Program Obligations, which requires a buyer in a supplier finance program to disclose the key terms of the program and the outstanding confirmed amounts as of each annual reporting date, effective for fiscal years beginning after December 15, 2022, except for the rollforward disclosure requirement, which is effective for fiscal years beginning after December 15, 2023. The Company adopted the annual disclosure requirements of ASU 2022-04 in the current year. The Company is not a party to a supplier finance program of the type addressed by the standard, and adoption did not result in any new disclosure.

In November 2023, the FASB issued ASU 2023-07, Segment Reporting - Improvements to Reportable Segment Disclosures, which requires disclosure of significant segment expenses regularly provided to the chief operating decision maker, the title and position of the chief operating decision maker, and an explanation of how the chief operating decision maker uses the reported measure of segment profit or loss, effective for fiscal years beginning after December 15, 2023. The Company adopted ASU 2023-07 in the current year; see Note 12 for the resulting expanded segment disclosures.

In March 2023, the FASB issued ASU 2023-01, Leases - Common Control Arrangements, which amends the accounting for leasehold improvements associated with leases between entities under common control, effective for fiscal years beginning after December 15, 2023. The Company adopted ASU 2023-01 in the current year. None of the leases described in Note 7 are between the Company and an entity under common control with the Company, and adoption accordingly did not affect these financial statements. Management considered whether any arrangement between the Company and another portfolio company of its controlling equity sponsor, of the kind described in Note 10, constituted a common control arrangement within the scope of ASU 2023-01, and concluded that none of those arrangements involved a lease, and that ASU 2023-01 therefore had no application to them.

Recently Issued Accounting Pronouncements Not Yet Adopted

In December 2023, the FASB issued ASU 2023-09, Income Taxes - Improvements to Income Tax Disclosures, which requires disaggregated disclosure of the components of the effective tax rate reconciliation and of income taxes paid, effective for fiscal years beginning after December 15, 2024. The Company will adopt ASU 2023-09 for its fiscal year beginning January 1, 2025, and is evaluating the incremental rate reconciliation and cash tax disclosures the standard will require; the Company does not expect adoption to affect recognition or measurement of any income tax asset or liability.

In October 2023, the FASB issued ASU 2023-06, Disclosure Improvements - Codification Amendments in Response to the SEC's Disclosure Update and Simplification Initiative, which amends various disclosure requirements across the Codification to align them with analogous SEC disclosure requirements. Each amendment in ASU 2023-06 becomes effective on the date the SEC removes the related disclosure requirement from its own regulations, and, for any amendment not yet effective by June 30, 2027, will be removed from the Codification without having become effective. Because the Company is not an SEC-reporting company, as described in Description of Business and Organization, and because none of the SEC's analogous disclosure requirements addressed by ASU 2023-06 had been removed as of period end, none of ASU 2023-06's amendments had become effective for the Company as of period end.

NOTE 2. REVENUE RECOGNITION

The Company recognizes revenue upon transfer of control of promised goods or services to customers, in an amount that reflects the consideration the Company expects to be entitled to receive in exchange for those goods or services, applying the five-step model prescribed by ASC 606: (1) identify the contract with a customer; (2) identify the performance obligations in the contract; (3) determine the transaction price; (4) allocate the transaction price to the performance obligations; and (5) recognize revenue when, or as, each performance obligation is satisfied. Substantially all of the Company's revenue continues to be recognized at a point in time, upon shipment or delivery of product to the customer in accordance with the applicable shipping terms; the developments described throughout this Note did not alter the point at which the Company has determined that control transfers.

Application of the Five-Step Model

Step 1 - Identify the contract. The Company's contracts with customers are typically evidenced by a customer purchase order accepted by the Company, or by a longer-term supply agreement under which individual purchase orders are issued from time to time. The renewed multi-year supply agreement described in the Concentration of Credit Risk discussion below is itself a framework of this second kind: it establishes the commercial terms under which the customer's individual purchase orders are placed, but the contract for purposes of ASC 606 is identified, and revenue is recognized, at the level of each purchase order once the parties' rights and payment terms can be identified, the order has commercial substance, and collection of substantially all of the consideration is probable.

Step 2 - Identify the performance obligations. The Company's contracts typically consist of a single performance obligation - delivery of the ordered product - because any related services, such as standard delivery, are not distinct from the product itself. The product mix delivered under those contracts shifted during the year, as volume produced on the lines the capacity-expansion program brought into service upon reaching substantial completion, described in Note 4, grew as a proportion of units shipped; that shift changed which products are delivered but did not change the conclusion that delivery of product is the single performance obligation in substantially all contracts. Where a contract includes a separately identifiable service, such as installation services distinct from the product sold, the Company accounts for that service as a separate performance obligation.

Step 3 - Determine the transaction price. The transaction price is the amount of consideration the Company expects to receive in exchange for the promised goods, and reflects the Company's estimate of variable consideration, such as volume rebates or early-payment discounts offered to certain customers, using the expected value method, constrained to the extent it is probable that a significant reversal of cumulative revenue would not occur. Estimating that variable consideration required more judgment during the year than in the year before it, because the customer whose purchasing grew to a reportable concentration, discussed below, purchases at a volume that makes the rebate-threshold tier it can reach, and the timing within the measurement period at which it reaches that tier, a materially larger component of the estimate than any single customer's rebate produced in the prior year.

Step 4 - Allocate the transaction price. Where a contract contains more than one performance obligation, the Company allocates the transaction price to each performance obligation based on its relative standalone selling price, generally observable directly from the Company's stand-alone sales of the same or similar goods and services. The price increases described in the Pricing and Price Increase Practices discussion below moved several product categories' observable stand-alone selling prices during the year, and the Company incorporated the revised prices into the standalone-selling-price analysis prospectively from each increase's effective date, so that allocations made after an increase took effect used the then-current observable price rather than the price in effect earlier in the year.

Step 5 - Recognize revenue. The Company recognizes revenue when, or as, it satisfies each performance obligation by transferring control of the promised good or service to the customer, which, as noted above, is generally at the point in time of shipment or delivery in accordance with the applicable shipping terms. The higher volume shipped following the substantial completion of the capacity-expansion program, and the additional volume shipped through the distributor added to the network during the year and described in the Sales Channels discussion below, were recognized under this same point-in-time pattern; neither development required, or resulted in, any change to the timing at which the Company recognizes revenue.

The Company's contracts with customers generally do not include significant financing components, and the Company has elected the practical expedient not to adjust the promised amount of consideration for the effects of a significant financing component when the period between transfer of the promised goods and payment is expected to be one year or less; that conclusion, including as applied to the customer whose purchasing volume grew materially during the year, was unaffected by the increase in volume, because the increase changed quantity rather than payment terms. Sales, use, and other taxes collected on behalf of, and remitted to, governmental authorities continue to be excluded from revenue, and shipping and handling activities performed after control of a product has transferred to the customer continue to be accounted for as fulfillment costs rather than as a separate performance obligation. Contract balances consist of trade accounts receivable, discussed in Note 1, and, where applicable, contract liabilities representing consideration received in advance of the satisfaction of the related performance obligation. The growth in receivable balances attributable to the customer discussed in the Concentration of Credit Risk section below did not arise from advance billing or deposit arrangements that would give rise to a contract liability; it reflects a larger volume of individual purchase orders shipped and invoiced on the Company's standard terms. Contract liabilities were not material to the Company's consolidated balance sheet as of period end, notwithstanding the growth in the underlying customer relationship and the renewed multi-year agreement described below.

Disaggregation of Revenue

The Company disaggregates revenue by product line, which management believes best depicts how the nature, amount, timing, and uncertainty of the Company's revenue and cash flows are affected by economic factors, consistent with the disaggregation objective in ASC 606-10-50-5. Management revisited that conclusion during the year in light of the product mix shift toward the product lines manufactured on the newly commissioned production lines described in Note 4, and concluded that disaggregation by product line, rather than by some other attribute such as customer or distribution channel, remains the presentation that best depicts the nature, amount, timing, and uncertainty of the Company's revenue and cash flows notwithstanding that shift, because the economic factors affecting each product line's revenue did not themselves change.

Revenue by product line	Fiscal Year 2024
Core product line - manufactured product sales	82,796,000.00
Aftermarket parts and service revenue	21,849,000.00
Other revenue	10,349,000.00
Total revenue	114,994,000.00

Substantially all of the Company's contracts with customers, including the individual purchase orders placed under the renewed multi-year supply agreement described in the Concentration of Credit Risk section below, are of a duration of one year or less for purposes of this disclosure, because the multi-year agreement itself establishes pricing and volume commitments rather than an unsatisfied performance obligation to deliver a fixed quantity of product over its term; the Company's remaining performance obligation as of any reporting date is limited to the individual purchase orders then outstanding. The Company has therefore elected the practical expedient in ASC 606-10-50-14 not to disclose the aggregate amount of the transaction price allocated to performance obligations that are unsatisfied, or partially unsatisfied, as of the end of the reporting period.

The Company's standard terms of sale include limited product return rights for defective product, consistent with the product warranty policy described in Note 1; the Company records a refund liability and a corresponding asset for the right to recover product, where material, based on the Company's historical returns experience. That experience was evaluated separately for the volume shipped to the customer described in the Concentration of Credit Risk section below and to the additional distributor added to the network during the year, and neither exhibited a returns pattern that differed from the Company's existing population of customers and distributors. Returns were not material to the Company's results of operations for fiscal 2024.

Concentration of Credit Risk

One customer that had not individually exceeded a reportable concentration threshold in the prior year grew, through a combination of organic volume increase and a renewed multi-year supply agreement, to represent a concentration requiring separate disclosure under asc 280.

The Company performs ongoing credit evaluations of its customers and generally does not require collateral. The allowance for credit losses described in Note 1 reflects the Company's estimate of expected losses inherent in its trade accounts receivable portfolio, including the incremental risk attributable to the concentration described above; management evaluated that customer's credit standing specifically in connection with the renewal of the multi-year supply agreement, considered the customer's longer operating history with the Company and the agreement's extended term in assessing collectibility, and concluded that the concentration increases the magnitude of exposure to a single customer's credit without indicating a deterioration in that customer's creditworthiness relative to the Company's other trade receivables.

Concentration of Suppliers

The Company sources its principal raw materials from a number of suppliers located within the United States, and does not consider itself dependent on any single supplier for a material portion of its raw material requirements. The Company maintains qualified alternate sources for its principal raw material categories where feasible, including for the raw materials consumed by the lines the capacity-expansion program brought into service during the year, and management does not believe that the loss of any single supplier would have a material adverse effect on the

Company's ability to manufacture and ship product at the higher volume the expanded capacity supports, although a short-term disruption at any given supplier could delay particular shipments.

Contract Assets and Contract Liabilities

The Company recognizes a contract asset when it has satisfied a performance obligation but its right to payment is conditioned on something other than the mere passage of time, and recognizes a contract liability when it has received consideration, or consideration is due, in advance of satisfying the related performance obligation. Because the Company's contracts, described above, typically consist of a single performance obligation satisfied at the point of shipment or delivery, the Company's contract asset balance has historically been not material, and neither the growth in the customer relationship described above nor the addition of a distributor to the Company's network during the year introduced a conditional right to payment of a kind that would change that conclusion; the Company had no contract asset requiring separate disclosure as of December 31, 2024.

Sales Channels

The Company sells its products principally through two channels: direct sales to industrial and commercial end users, and sales through a network of independent distributors that resell the Company's products to smaller end users the Company does not serve directly; that network grew during the year with the addition described immediately below. Revenue recognition under ASC 606 does not differ between the two channels - control of the product transfers to the distributor upon shipment on the same basis as it transfers to a direct end-user customer, and the Company does not provide distributors, including the newly added distributor, with a right of return, price protection, or other post-sale consideration beyond the warranty and limited return rights described above and in Note 1.

During the year, the Company entered into a distribution agreement with an additional independent distributor covering a region the Company had previously served only through direct sales; management evaluated the new agreement under ASC 606 and concluded that it introduces no new performance obligation, variable consideration term, or financing component not already addressed by the Company's existing accounting policies for distributor sales, and that the shift in channel mix it may produce over time does not, on its own, change the pattern or timing of revenue recognition described above.

Volume Rebate and Early-Payment Discount Programs

The Company offers certain customers volume-based rebate programs, under which a customer becomes entitled to a rebate, typically applied as a credit against future purchases, once its cumulative purchases over a stated measurement period exceed a specified threshold, and early-payment discount programs tied to remitting payment within a period shorter than the Company's standard terms. The customer discussed in the Concentration of Credit Risk section above participates in such a rebate program, and the volume it purchases under the renewed multi-year supply agreement makes the threshold tier it is expected to reach, and the associated rebate amount, a materially more significant component of the Company's overall rebate estimate than any single customer's program produced in the prior year, increasing the judgment the expected value method described in Note 1 requires.

Liabilities for unpaid rebates earned but not yet paid or credited are included within accounts payable and accrued liabilities on the consolidated balance sheet. That liability grew during the year, consistent with the growth in the rebate-eligible customer's purchasing volume discussed above, but remained not material to the consolidated balance sheet as of period end. The Company's estimation methodology for volume rebate and early-payment discount programs did not change during fiscal 2024; what changed was the significance of a single customer's estimate within the total, which management now monitors, and re-measures, with the same frequency but greater attention than it applied to any individual customer's rebate estimate in the prior year.

Pricing and Price Increase Practices

The Company periodically reviews and, where market conditions and the Company's cost structure support it, adjusts its list pricing for the product lines described in the Description of Business and Organization section above. During the year, the Company implemented price increases across several of its product categories, raising the estimated selling prices used both to recognize revenue on orders placed after each increase's effective date and, as discussed in Step 4 above, to allocate the transaction price in multiple-element arrangements; individual customer pricing may still deviate from list pricing based on negotiated terms. Price increases were communicated to customers in advance of their effective date, consistent with the notice periods, if any, specified in the customer's supply agreement, and did not modify the transaction price of orders placed before the increase took effect.

Order Cancellation and Modification

The Company's standard terms of sale permit a customer to cancel or modify an order prior to shipment, subject to a cancellation charge intended to compensate the Company for costs incurred prior to cancellation for orders cancelled after production has begun; the Company accounts for a contract modification under ASC 606-10-25-10 through 25-13, treating a modification that does not add a distinct good or service, or that adds a distinct good or service not priced at its standalone selling price, as part of the original contract rather than as a separate contract. The higher volume of orders placed following the capacity-expansion program's substantial completion did not change the frequency or character of order cancellations and modifications during fiscal 2024 relative to the Company's historical experience, and did not require a change in this accounting policy.

Multiple-Element Arrangements

A limited number of the Company's contracts include both the sale of product and a separately identifiable installation or commissioning service, as referenced above; for these multiple-element arrangements, the Company allocates the

transaction price between the product and the service based on each element's relative standalone selling price, determined by reference to the price the Company charges for the product or the service when sold separately to similar customers under similar circumstances, incorporating the pricing actions described above where an increase took effect before the arrangement was priced. Revenue attributable to the product element is recognized upon shipment or delivery, and revenue attributable to the installation or commissioning service element is recognized as the service is performed, measured using an output method based on milestones completed. Multiple-element arrangements were not a significant portion of the Company's revenue during fiscal 2024.

Principal Versus Agent Considerations

In each of its sales arrangements, the Company evaluated whether it acts as a principal, recognizing revenue on a gross basis, or as an agent, recognizing revenue on a net basis, under the guidance in ASC 606-10-55-36 through 55-40; management re-performed that evaluation for the distributor added to the network during the year, rather than assuming the existing distributor conclusion extended automatically to the new relationship. The Company concluded that it acts as principal in each of its revenue arrangements, including sales through the expanded distributor network, because the Company itself controls the product before it is transferred to the customer or distributor, bears primary responsibility for fulfilling the promise to provide the product, and bears the inventory risk described in Note 3 prior to shipment; the Company accordingly recognizes revenue on a gross basis throughout these financial statements.

Warranty as a Separate Performance Obligation - Evaluation

Consistent with Note 1's discussion of product warranty, the Company evaluated its standard product warranty under ASC 606-10-55-30 through 55-35 and concluded that it is an assurance-type warranty - providing the customer assurance that the delivered product complies with agreed-upon specifications - rather than a service-type warranty that would constitute a separate performance obligation, because the Company's standard warranty does not provide the customer with a service in addition to that assurance; the product mix shift toward the newly commissioned lines' products did not change that conclusion, because those products carry the same standard warranty terms as the Company's existing product lines. The Company does not offer an extended, separately priced warranty for an additional service period, and accordingly recognizes no revenue allocated to a warranty performance obligation for fiscal 2024.

NOTE 3. INVENTORY

Inventory is carried at the lower of cost or net realizable value, with cost determined principally on a first-in, first-out basis, and is reviewed each period for excess and obsolete quantities. The review required more judgment in the current year than in the prior one. Bringing the capacity described in Note 4 into full service changed both the product mix and the throughput rate, so the historical usage rates that ordinarily inform the obsolescence assessment were a weaker guide for part numbers consumed by the new lines, and management supplemented them with the forward demand implied by the supply arrangements described in Note 2.

Component	Fiscal Year 2024
Raw materials	5,513,000.00
Work in process	1,802,000.00
Finished goods	3,286,000.00
Reserve for excess and obsolete inventory	(1,136,000.00)
Inventory, net	9,465,000.00

Raw material inventory declined from the elevated level carried through the prior year. That elevation was deliberate - it was held against the commissioning of the capacity-expansion program, when an interruption in supply would have idled a line being brought up - and with the program substantially complete the Company returned to ordering against its normal consumption cycle. Work in process rose modestly, which management attributes to the longer aggregate production pipeline the additional lines create rather than to any slowing of throughput.

Consignment and Vendor-Managed Inventory

The Company holds no material inventory owned by a third party on consignment and consigns no material amount of its own inventory to customers or distributors. Management re-examined this position during the year because the expanded distributor network described in Note 2 is the circumstance in which a consignment or vendor-managed arrangement is most often proposed. None was entered into: the distributors described in that Note purchase for their own account and take title on shipment.

Inventoriable cost comprises raw materials, direct labor and manufacturing overhead allocated on the basis of normal production capacity, with abnormal idle capacity and spoilage charged to expense as incurred. The definition of normal capacity itself changed during the year: with the expansion in service, normal capacity is now measured against the enlarged installed base, which reduces the overhead absorbed per unit relative to the prior-year basis. Management applied the revised measure prospectively from the date the additional lines reached commercial production.

Costing Methodology and Standard Cost Variances

A standard costing system is maintained for manufactured inventory, with standards set for raw materials, direct labor and overhead and variances analysed against actual cost. The standards for the products made on the new lines were revised during the year, because the standards in force at the start of the year had been derived from the pilot and commissioning runs rather than from sustained commercial production. Standards for the Company's established products were not revised.

Variances for the year were larger than the Company's historical experience for the revised product lines and consistent with it for the remainder, which is the pattern management expected given the timing of the revision. As of December 31, 2024 management concluded that no further change to the standard cost assumptions was required, the post-revision variances having narrowed over the second half of the year.

Reserve for Excess and Obsolete Inventory - Roll-Forward Discussion

The reserve is increased by a current-period charge to cost of goods sold for quantities identified as excess or obsolete and reduced as reserved inventory is scrapped or sold. The current year's charge included an element the prior year's did not: a quantity of raw material specific to a component design superseded when the new lines were configured, which has no alternative use in the Company's remaining products and was reserved in full. Scrapping activity was correspondingly higher than in the prior year.

Inventory Financing and Consignment Arrangements

The Company is party to no inventory floor-plan financing, sale-and-repurchase or similar inventory financing arrangement, and pledges no inventory as collateral except as part of the general security interest described in Note 6. Nothing entered into during the year changed this, and the seller-side and buyer-side financing questions addressed in Note 23 reach the same conclusion for receivables and payables respectively.

Inventory Held at Third-Party Locations

Part of the finished goods balance sits at third-party public warehouses serving the regional distribution locations described in the Description of Business, under terms that leave title with the Company. The quantity so held fell during the year, because the modification and extension of the principal distribution warehouse lease described in Note 7 secured space the Company had previously supplemented with third-party storage. Management reconciles third-party holdings to the warehouse operators' reports and performs periodic physical verification at those locations.

Lower of Cost or Net Realizable Value - Application

In applying the test, the carrying cost of each significant category is compared with its estimated selling price less reasonably predictable costs of completion, disposal and transportation. The comparison was affected during the year by the pricing actions described in Note 2, which raised estimated selling prices for several categories and therefore widened the margin between cost and net realizable value. No category required a write-down to net realizable value as of December 31, 2024.

NOTE 4. PROPERTY, PLANT AND EQUIPMENT

Category	Estimated useful life
Land	not depreciated
Buildings and improvements	15 to 30 years
Machinery and equipment	5 to 12 years
Office equipment, furniture and fixtures	3 to 7 years

Category	Gross carrying amount	Accumulated depreciation	Net carrying amount
Land	2,690,000.00	not depreciated	2,690,000.00
Buildings and improvements	16,716,000.00	5,188,000.00	11,528,000.00
Machinery and equipment	25,015,000.00	8,876,000.00	16,139,000.00
Office equipment, furniture and fixtures	4,668,000.00	1,210,000.00	3,458,000.00
Construction in progress	4,611,000.00	not depreciated	4,611,000.00
Property, plant and equipment, net	53,700,000.00	15,274,000.00	38,426,000.00

Property, plant and equipment is stated at cost, net of accumulated depreciation, which is computed on a straight-line basis over the estimated useful lives set out above. Depreciation expense is included within cost of goods sold and selling, general and administrative expense based on the function the underlying asset serves and, together with intangible asset amortization, is presented in aggregate as 'Depreciation and amortization expense' in the condensed statement of operations excerpt above. The composition of the depreciable base shifted markedly during the year as the capacity-expansion program described below reached substantial completion and its assets were placed in service, and the weighted-average remaining useful life of the Company's depreciable property, plant and equipment lengthened as a result, reflecting the newly placed-in-service equipment's longer remaining lives relative to the base it joined.

Continued build-out of the capacity added in the prior year, at a materially lower run rate of capital spending as the expansion program reached substantial completion.

Roll-forward of property, plant and equipment, net	Fiscal Year 2024
Balance, beginning of year	35,580,000.00
Additions, including construction in progress	11,144,000.00
Disposals, net of accumulated depreciation	192,000.00
Depreciation expense	8,106,000.00
Balance, end of year	38,426,000.00

Construction in progress as of period end related to the remaining phases of the capacity-expansion program described above; interest cost capitalized during the year in accordance with ASC 835-20 was lower than in the prior year, consistent with the lower level of qualifying construction expenditures as the program approached substantial

completion.

Management evaluates long-lived asset groups for impairment whenever events or changes in circumstances - including a significant decrease in the market price of an asset, a significant adverse change in the manner an asset is used, a significant adverse change in the business climate, an accumulation of costs significantly in excess of the amount originally expected, or a current-period operating or cash flow loss combined with a history of such losses - indicate that the carrying amount of an asset group may not be recoverable. The substantial completion of the capacity-expansion program during the year prompted management to specifically consider whether the additional throughput rendered any existing, pre-expansion production line redundant, which would itself be an indicator; management identified no line rendered redundant by the expansion, and no impairment of property, plant and equipment was recorded during fiscal 2024.

Depreciation Expense by Function

Depreciation expense by function	Fiscal Year 2024
Cost of goods sold	5,674,000.00
Selling, general and administrative expense	2,432,000.00
Total depreciation expense (property, plant and equipment only)	8,106,000.00

Substantially all of the Company's manufacturing machinery and equipment is housed at its primary manufacturing facility, which the Company owns; the Company's distribution and warehouse locations, described in Note 7, are leased rather than owned. Depreciation expense on property, plant and equipment rose during the year as equipment added under the capacity-expansion program completed commissioning and moved out of construction in progress into service, even as current-year additions fell sharply from the prior year's elevated level now that the program's spending is largely behind the Company. That shift is the principal driver of the narrowing book/tax depreciation gap discussed in Note 8. The Company capitalizes major maintenance turnaround costs and amortizes them over the period until the next scheduled turnaround, consistent with the built-in-overhaul method; routine maintenance is expensed as incurred, as described in Note 1.

Capitalized internal-use software costs, described in Note 1, are included within office equipment, furniture and fixtures in the table above and are amortized over the estimated useful life of the related software, determined consistently with the useful lives disclosed for that category above. Unlike the manufacturing machinery and equipment added under the capacity-expansion program, the population of capitalized software assets did not require a new useful-life determination during the year, because no new software system was placed in service alongside the expansion. Capitalized internal-use software costs remained immaterial to the Company's property, plant and equipment balance as of December 31, 2024.

Impairment Indicators Considered But Not Present

In connection with the capacity-expansion program described above, management specifically considered each of the impairment indicators enumerated in ASC 360-10-35-21 as they might apply to the asset group that includes the newly added capacity, now placed in service: whether the completed program's actual cost significantly exceeded the amount originally budgeted; whether a current-period operating loss attributable to the new capacity, combined with a history of such losses, was present; and, distinctly from the prior year's analysis, whether the added throughput rendered any existing production line redundant. Management concluded that none of these indicators was present as of December 31, 2024, and that the asset group's estimated undiscounted future cash flows, on a held-and-used basis, substantially exceed its carrying amount.

Asset Retirement Obligations

The Company has evaluated whether any of its property, plant and equipment gives rise to a legal obligation associated with the retirement of a tangible long-lived asset within the scope of ASC 410-20, Asset Retirement Obligations - for example, an obligation to restore leased premises to their original condition upon lease termination, or to decommission specialized equipment. Placing the expansion's new equipment in service during the year did not change this conclusion: the equipment is affixed to owned real property rather than leased premises, and neither the Company's facility leases, described in Note 7, nor its owned real property and machinery and equipment, are subject to a legal requirement to remove, decommission or remediate upon retirement that would give rise to a recognizable obligation. Accordingly, the Company has recorded no asset retirement obligation as of December 31, 2024.

Capitalized Software Development - Amortization Methodology

Capitalized internal-use software costs described in Note 1 and included within the office equipment, furniture and fixtures category above are amortized on a straight-line basis beginning when the software is ready for its intended use, over the shorter of the software's estimated useful life or, where applicable, the remaining term of any hosting or license arrangement to which the software relates. Management reassesses that remaining life whenever a change in circumstances, such as a decision to replace or materially upgrade a system before the end of its previously estimated useful life, indicates that reassessment is warranted. The commissioning of the capacity-expansion program did not trigger such a reassessment, because the program's control and monitoring functions run on the Company's existing manufacturing execution system rather than on newly capitalized software; no change in circumstances arose during fiscal 2024.

Major Maintenance and Turnaround Costs

The Company periodically performs major maintenance turnarounds on certain of its manufacturing machinery and equipment, involving the disassembly, inspection, and, where necessary, replacement of major components to restore

the equipment's productive capacity and extend its useful life. The production lines added under the capacity-expansion program are new enough that none reached its first scheduled turnaround interval during the year, so the turnaround population below consists entirely of pre-expansion equipment. Consistent with the built-in-overhaul method referenced above, the Company capitalizes the cost of a turnaround as a separate component of the related equipment and depreciates it over the period until the next scheduled turnaround; any remaining unamortized cost of a prior turnaround is written off when a new one is performed. The Company performed no scheduled major maintenance turnaround on its principal production line during fiscal 2024.

Insurance Recoveries

The Company recognizes a receivable for an insurance recovery related to property, plant and equipment only when realization of the claim is probable, and measures the receivable at the lesser of the amount of the loss incurred or the amount management believes will be collected under the applicable policy, consistent with the general recognition guidance in ASC 450 for a gain contingency. Property insurance coverage for the newly commissioned capacity was placed concurrently with the equipment being put into service, consistent with the Company's existing coverage for the remainder of the facility. The Company recognized no insurance recovery related to property, plant and equipment during fiscal 2024, because no casualty loss requiring an insurance claim occurred.

Useful Life Assumptions - Basis and Review

The estimated useful life ranges presented above for each category of property, plant and equipment are based on management's assessment of historical usage patterns for assets of each type, adjusted for the Company's own maintenance practices, including the major maintenance turnaround practice described above. Placing the capacity-expansion program's machinery and equipment in service during the year required management to assign useful lives to that equipment for the first time, a determination made by reference to the useful lives already assigned to comparable existing machinery and equipment, adjusted for the new equipment's higher duty cycle. The ranges applied to the Company's pre-existing categories were unchanged from the prior fiscal year, and management will continue to monitor the newly assigned useful lives against actual usage as the new equipment accumulates operating history.

Idle and Underutilized Assets

Management periodically reviews the Company's property, plant and equipment for assets that have become idle or substantially underutilized, which can be an indicator warranting the impairment evaluation described above. The capacity added under the program described above was placed in service in a phased manner consistent with the program's construction and commissioning schedule, and each phase was brought to a commercially representative level of utilization shortly after being placed in service; management specifically monitored the ramp-up of each phase for signs of sustained underutilization and identified none. Other than that phased ramp-up, now substantially complete, the Company held no idle or substantially underutilized property, plant and equipment as of December 31, 2024.

Assets Held Under Government Incentive Arrangements

Certain of the machinery and equipment added under the capacity-expansion program described above qualifies for a state or local property tax abatement customary for qualifying manufacturing investment in the jurisdiction in which the Company's primary manufacturing facility is located; the abatement reduces property tax expense over its stated term but does not affect the gross carrying amount, accumulated depreciation, or useful life of the underlying asset. With the qualifying equipment now placed in service, the abatement began reducing property tax expense during the year rather than remaining a prospective benefit as it had while the equipment was under construction. The abatement did not require recognition of a government grant asset or deferred income under ASC 832, Government Assistance, because it reduces a future tax that would otherwise be payable rather than transferring an asset or forgiving a liability.

Component Accounting for Buildings and Improvements

The Company applies component accounting to its buildings and improvements where a building includes a major component - such as a roof, a heating, ventilation, and air conditioning system, or a specialized manufacturing utility installation - with a useful life materially shorter than the building structure itself, depreciating each component separately rather than over the building's own useful life. Management identified no change during fiscal 2024 to the components it separately tracks for the buildings and improvements housing the Company's primary manufacturing facility and its owned administrative space. The leasehold improvements at the distribution warehouse are accounted for separately from owned buildings and improvements; the third-quarter amendment and extension of that lease, described in Note 7, lengthened the remaining lease term against which those improvements and the associated right-of-use asset are amortized, without changing the components tracked within owned property.

Spare Parts and Maintenance Supplies

The Company holds certain critical spare parts for its manufacturing machinery and equipment, intended to reduce unplanned production downtime in the event of an equipment failure; consistent with ASC 360-10-05-3, the Company capitalizes a critical spare part expected to be used over more than one year and depreciates it over the shorter of its own useful life or the remaining useful life of the equipment it supports, and expenses a routine maintenance supply as incurred, consistent with the policy in Note 1. The Company identified and capitalized an initial population of critical spare parts specific to the equipment added under the capacity-expansion program as it was placed in service, sized by reference to the spare-parts coverage maintained for comparable existing equipment; the pre-existing population

of capitalized critical spare parts did not change materially during fiscal 2024.

Construction in Progress - Commissioning and Transfer to Service

The Company transfers a constructed asset from construction in progress to its permanent property, plant and equipment category, and begins depreciating it, once the asset has completed commissioning and is ready for its intended use, consistent with the general policy of beginning depreciation when placed in service rather than when acquired or constructed. The substantial completion of the capacity-expansion program during the year moved the great majority of its cost out of construction in progress and into the depreciable categories above, which the roll-forward table presents as the year's additions. The amount included in accounts payable for unpaid property and equipment fell sharply from the prior year end, because the contractor invoicing associated with the program's construction had, by year end, largely cleared, consistent with the program having reached substantial completion rather than remaining mid-construction.

NOTE 5. GOODWILL AND INTANGIBLE ASSETS

Goodwill represents the excess of the purchase price over the fair value of identifiable net assets acquired in business combinations completed by the Company prior to the periods presented. Goodwill is not amortized but is tested for impairment at least annually, as of the Company's annual testing date in the fourth quarter, and more frequently whenever events or changes in circumstances indicate that it is more likely than not that the fair value of a reporting unit is below its carrying amount ('a triggering event'). The Company's fiscal 2024 goodwill impairment assessment was identified by the Company's independent auditors as a critical audit matter because of the significant judgment the assessment required and the sensitivity of its conclusion to the discount rate and long-term growth assumptions discussed below.

The Company performed its regular annual quantitative goodwill impairment test at its testing date during the fourth quarter, estimating the fair value of its single reporting unit using a discounted cash flow method corroborated by a market multiple approach referencing comparable public companies. The estimated fair value of the reporting unit exceeded its carrying amount by a substantial margin, and no impairment was recorded. As described in the Critical Audit Matter section of the auditors' report above, this assessment required significant judgment regarding the discount rate, the long-term revenue growth rate, and projected operating margins.

Intangible assets with finite lives, consisting principally of customer relationships and developed technology recognized in the Company's prior business combinations, are amortized on a straight-line basis over their estimated useful lives, ranging from 7 to 15 years, and are included, together with property, plant and equipment depreciation, within the 'Depreciation and amortization expense' line of the condensed statement of operations excerpt above. During fiscal 2024, one customer's purchases, following the renewal of a multi-year supply agreement described in Note 2, crossed the threshold at which that customer represented more than 10% of the Company's consolidated revenue, a development management considered in assessing the remaining useful life of the related customer relationship intangible asset, discussed further below. No impairment of intangible assets was identified during fiscal 2024.

Determination of the Company's Reporting Unit

The Company has determined that it operates as a single reporting unit for purposes of goodwill impairment testing under ASC 350-20, consistent with its determination, described in Note 12, that it operates as a single operating and reportable segment. All of the Company's goodwill is therefore assigned to, and tested for impairment at, that single reporting unit. Because fiscal 2024 was the first full fiscal year following the June 2023 Refinancing described in Note 6, the discount rate management applied in estimating the reporting unit's fair value reflected a full year of the Company's post-Refinancing capital structure and cost of debt, rather than the blended, partial-year cost of capital that informed the prior year's qualitative assessment.

In reaching this determination, management considered ASC 350-20-35-34's guidance that a reporting unit is an operating segment, or one level below an operating segment (a component), for which discrete financial information is available and regularly reviewed by segment management. Because the Company does not maintain discrete financial information below the single operating segment level described in Note 12, and no component of that segment constitutes a business for which discrete financial information is regularly reviewed by segment management, the Company's single operating segment and its single reporting unit are the same. The additional segment expense categories the Company began disclosing during fiscal 2024 under ASU 2023-07, described in Note 12, did not alter this determination, because those disclosures identify expense categories within the single segment rather than additional segments or components.

Intangible Assets by Category

Intangible asset category	Gross carrying amount	Accumulated amortization	Net carrying amount
Customer relationships	5,596,000.00	1,451,000.00	4,145,000.00
Developed technology	3,552,000.00	921,000.00	2,631,000.00
Trade names	1,615,000.00	419,000.00	1,196,000.00
Total intangible assets, net	10,763,000.00	2,791,000.00	7,972,000.00

Trade names are amortized on a straight-line basis over their estimated useful lives, consistent with the Company's determination that the trade names do not have an indefinite useful life. Estimated future amortization expense for intangible assets held as of period end is not expected to differ materially from the amortization expense recognized

during fiscal 2024 for the following five fiscal years, after which the majority of the Company's customer relationship intangible assets will be fully amortized. Management corroborated that estimate against the revenue projections underlying the fiscal 2024 quantitative impairment test described above, which reflect a full year of production from the capacity-expansion program reaching substantial completion during the year.

Historical Origin of Goodwill

The goodwill and intangible assets described in this Note arose from business combinations completed by the Company prior to the earliest fiscal year presented in these financial statements, and predate the controlling equity sponsor's acquisition of its controlling interest in the Company. No goodwill was recognized, and no existing goodwill was derecognized, during fiscal 2024, because the Company completed no business combination during the year, consistent with Note 1. The Refinancing described in Note 6, now in its first full fiscal year of operation, remains a debt transaction rather than a business combination and accordingly continues to fall outside the scope of ASC 805.

Sensitivity of the Impairment Conclusion

Because the estimated fair value of the Company's single reporting unit exceeded its carrying amount by a substantial margin at the Company's annual testing date, management does not believe that a reasonably likely change in any individual significant assumption used in the discounted cash flow method - the discount rate, the long-term revenue growth rate, or projected operating margins - would, in isolation, reduce the estimated fair value of the reporting unit below its carrying amount. Management considered the assumptions in combination, rather than only individually, and reached the same conclusion; no combination of reasonably likely changes in those assumptions that management considered would eliminate the margin between the reporting unit's estimated fair value and its carrying amount.

Trade Name Impairment Testing

The Company's trade name intangible assets are finite-lived, as described above, and are therefore tested for impairment only when a triggering event indicates that their carrying amount may not be recoverable, rather than annually as goodwill and any indefinite-lived intangible asset would be. Management considered whether the capacity-expansion program's reaching substantial completion during fiscal 2024, described in Note 4, constituted such a triggering event for the Company's trade names, and concluded that it did not, because the program was expected to increase the volume of product sold under the Company's existing trade names rather than to change the trade names' role or recognition in the market. Management accordingly performed no recoverability test with respect to those assets beyond its ordinary-course monitoring of the indicators described in Note 4's discussion of long-lived asset impairment.

Composition of Customer Relationship Intangibles

The customer relationship intangible assets described above represent the estimated fair value, at the time of the relevant business combination, of relationships the Company had established with certain of the customers described in Note 2 and Note 12; the useful life assigned to each asset reflects management's estimate, at acquisition, of the period over which the Company expected to retain the relevant relationship's economic benefit. During fiscal 2024, the customer whose renewed multi-year supply agreement is described in Note 2 crossed the 10% revenue concentration threshold referenced above, which management considered supportive of, rather than a reason to shorten, that asset's remaining useful life, because the renewal extended the relationship rather than signaling an earlier-than-expected end to it. No new customer relationship intangible asset was recognized during fiscal 2024, because the Company completed no business combination during the year.

Developed Technology Intangibles

The developed technology intangible assets described above represent the estimated fair value, at the time of the relevant business combination, of product designs and manufacturing know-how the acquired business had developed prior to the combination; these assets are amortized over their estimated useful life on the same straight-line basis as the Company's other finite-lived intangible assets, rather than on a units-of-production or other accelerated basis, because management does not believe a units-based pattern more faithfully reflects the pattern in which the Company consumes the economic benefit of the underlying technology. With the capacity-expansion program reaching substantial completion during fiscal 2024, the developed technology continued to be deployed across a full year of expanded production volume, and no impairment indicator specific to the developed technology intangible assets was identified during fiscal 2024.

NOTE 6. DEBT

Fiscal 2024 was the first full fiscal year in which every instrument comprising the Company's outstanding indebtedness as of December 31, 2024 - the Senior Notes, borrowings under the revolving Credit Agreement, and the conduit-issued Industrial Revenue Bonds guaranteed by the Company - had been outstanding for the entire twelve-month period, rather than for the partial period the Refinancing's mid-year 2023 closing date produced in the comparable prior-year note. The composition of that indebtedness is summarized below and did not change during the year: no instrument was added, retired, or refinanced, so the divergence this Note describes from the prior year is a full-year consequence of an unchanged capital structure rather than a structural change in the structure itself.

Instrument	Principal / Commitment	Rate	Maturity
Senior Notes	175,000,000.00	7.75000%	2031-06-15
Revolving credit facility	60,000,000.00	variable	n/a - revolving

(committed)			
Revolving credit facility (drawn)	12,000,000.00	variable	n/a - revolving
Industrial Revenue Bonds (conduit-issued)	24,500,000.00	serial/term, see IRB Official Statement	serial 2027-2033; term bond 2039

The Credit Agreement and the Senior Notes

The Senior Notes and the Credit Agreement were entered into in the Refinancing completed in the prior fiscal year; no new instrument was issued and no existing instrument was refinanced during fiscal 2024. The Company was in compliance with all financial covenants under the Credit Agreement throughout the year, including the maintenance leverage covenant and the fixed charge coverage ratio covenant described in Note 9. Fiscal 2024 is accordingly the first full fiscal year in which the Company has operated under that unchanged capital structure for the entire twelve-month period, rather than for the partial period the Refinancing's mid-year closing produced in the comparable prior-year note, a distinction this Note addresses further below in connection with interest expense and covenant headroom.

During the year, the Company and the lenders under the Credit Agreement executed a technical amendment addressing administrative matters and certain financial definitions; the amendment did not change the committed amount, the maturity date, or the financial covenant levels under the Credit Agreement, and was accounted for as a modification rather than an extinguishment under ASC 470-50. No other amendment, waiver, or modification of the Credit Agreement or of the indenture governing the Senior Notes was entered into during fiscal 2024, and neither instrument's principal amount, maturity date, or governing covenant package changed at any point during the year as a result of the technical amendment or otherwise.

Roll-forward of unamortized debt issuance costs	Fiscal Year 2024
Balance, beginning of year	1,793,000.00
Costs capitalized in connection with the current-year amendment	not material
Amortization to interest expense	241,000.00
Balance, end of year	1,552,000.00

Optional Redemption and Change of Control

Redemption date	Redemption price (% of principal)
2027-06-15	103.875%
2028-06-15	101.938%
2029-06-15	100.969%
2030-06-15	100.000%

The step-down optional redemption schedule set out above, and the make-whole redemption price payable before the first call date shown in it, are unchanged from the terms fixed in the indenture at the time of the Refinancing; fiscal 2024 is the first full year in which the Company has held the Senior Notes outstanding under that unchanged schedule for an entire reporting period. The make-whole price before the first call date continues to be calculated by reference to the applicable Treasury rate plus the fixed spread specified in the indenture's Applicable Premium definition, and neither the reference-security convention nor the fixed spread was amended during the year.

No change of control, as defined in the indenture, occurred during fiscal 2024, so the put right described below was not triggered and the Company repurchased no Senior Notes under it during the year. Upon the occurrence of a change of control, each holder of the Senior Notes retains the right to require the Company to repurchase all or a portion of that holder's Senior Notes at a purchase price equal to 101.00% of the principal amount thereof, plus accrued and unpaid interest to the date of repurchase, on terms that have not been amended since the indenture's original execution.

Restrictive Covenants

The restrictive covenants in the indenture governing the Senior Notes and in the Credit Agreement operated for a full fiscal year for the first time in fiscal 2024, having applied for only the partial period following the Refinancing in the prior year; subject to customary exceptions and baskets, they continue to limit the Company's and its restricted subsidiaries' ability to incur additional indebtedness or issue disqualified stock, pay dividends or make other restricted payments, make certain investments, create liens on assets, merge, consolidate, or sell substantially all of the Company's assets, enter into affiliate transactions, and designate unrestricted subsidiaries. The Company was in compliance with all such covenants as of December 31, 2024.

The indenture and the Credit Agreement also each contain customary events of default - payment defaults, covenant defaults, cross-defaults to the Company's other material indebtedness, bankruptcy and insolvency events, and material judgment defaults - each subject to customary notice and cure periods before the trustee or the lenders, as applicable, may exercise remedies. No event of default occurred under either instrument at any point during fiscal 2024, a conclusion management reached with the benefit, for the first time, of a full year of covenant testing under the post-Refinancing capital structure rather than the partial year available for the prior year's assessment.

Industrial Revenue Bonds

The Industrial Revenue Bonds continue to be conduit-issued through a municipal issuer in connection with a prior facility expansion and secured by an unconditional guarantee of the Company, consisting of serial bonds maturing in installments beginning in 2027 through 2033 and a term bond due 2039 retired through mandatory sinking fund

redemptions in the years preceding its stated maturity. As of December 31, 2024 no serial maturity or sinking fund redemption had yet come due; the bonds' amortization profile is unchanged from the profile described in the prior year's note, and the Company was in compliance with all covenants under the related financing documents throughout the year.

The Company again filed its annual continuing disclosure report with respect to the Industrial Revenue Bonds through the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system for fiscal 2024, as required by the continuing disclosure undertaking entered into at the original issuance, and separately stands ready to file any material event notice that undertaking requires upon an enumerated event, such as a rating change on the Industrial Revenue Bonds or an unscheduled redemption; no such event occurred, and none was reported, during the year. The report filed for fiscal 2024 is consistent with the information presented in this Note.

Excluding the revolving credit facility, which carries no scheduled amortization prior to its maturity date, the Company's long-term debt has no material near-term scheduled principal repayment: the Senior Notes are bullet debt, repayable in a single installment at their stated maturity, and the Industrial Revenue Bonds' serial maturities do not begin retiring principal until 2027. Both features were true when the instruments were issued and remain true as of December 31, 2024 - fiscal 2024 did not change the shape of either instrument's amortization profile, and management restates that structural conclusion for the current year rather than identifying any new development affecting it.

Components of Interest Expense

Components of Consolidated Interest Expense	Fiscal Year 2024
Interest on the Senior Notes, at the stated coupon rate	9,292,000.00
Interest on the revolving credit facility, at the variable rate then in effect	2,430,000.00
Interest on the Industrial Revenue Bonds	1,716,000.00
Amortization of debt issuance costs	241,000.00
Commitment fees on undrawn revolver capacity	858,000.00
Total Consolidated Interest Expense	14,537,000.00

Fiscal 2024 is the first fiscal year in which every line item in the table above reflects a full twelve months rather than the partial period the Refinancing's mid-2023 closing produced in the comparable prior-year table, so the current year's Total Consolidated Interest Expense is not comparable to the prior year's on a straight-line, pro-rated basis, and management does not treat the increase as indicative of a change in borrowing cost. The commitment fee on the unused portion of the revolving credit facility, payable in addition to interest on amounts actually drawn, is included within Consolidated Interest Expense above and in the condensed statement of operations excerpt at the beginning of these financial statements.

Guarantees and Security

The guarantee and security arrangements supporting the Company's obligations under the Credit Agreement and the indenture governing the Senior Notes - each guaranteed by the Company's direct and indirect wholly owned domestic subsidiaries other than any subsidiary designated as unrestricted, and secured, in the case of the Credit Agreement, by a lien on substantially all of the Company's and the guarantors' tangible and intangible assets - were not amended, released, or supplemented during fiscal 2024. The relative lien priority between the Credit Agreement obligations and the Senior Notes, and the distinct guarantee and security arrangements applicable to the Industrial Revenue Bonds, remain set out in full in the governing documents themselves rather than restated here, consistent with Note 22.

Intercreditor Arrangements

The intercreditor agreement between the administrative agent under the Credit Agreement and the trustee under the indenture governing the Senior Notes continued in effect, unamended, throughout fiscal 2024, governing the relative priority of their respective liens on the collateral described above and certain standstill and enforcement-related matters between the two sets of secured parties. The agreement does not itself create or extinguish any payment obligation of the Company, and no circumstance requiring action under it - such as an event of default under either instrument - arose during the year, consistent with the absence of any event of default discussed above.

Interest Rate Benchmark

Borrowings under the revolving Credit Agreement continued to bear interest at a rate based on the Secured Overnight Financing Rate ('SOFR') published by the Federal Reserve Bank of New York, plus an applicable margin that varies with the Company's total net leverage ratio at each determination date; because the revolver's drawn balance moves seasonally and the capacity-expansion program described in Note 4 reached substantial completion during the year, the amount actually subject to that variable rate at any point in fiscal 2024 was smaller, on average, than the amount that had been drawn to help fund the expansion in the prior year. The pricing grid itself, negotiated on a SOFR basis at the time of the Refinancing, was not renegotiated, and the Company again had no need to adopt any optional expedient under ASC 848, Reference Rate Reform.

Prepayment and Excess Cash Flow Sweep

The Credit Agreement's mandatory prepayment provisions, requiring prepayment of amounts outstanding under the revolving facility from the net proceeds of certain asset sales, casualty and condemnation events, and debt issuances not otherwise permitted, were not triggered during fiscal 2024 because no such proceeds-generating event and no unpermitted debt issuance occurred; the Company issued no debt and extinguished none during the year. As in the prior year, the revolving facility remains outside the mandatory excess cash flow sweep applicable to a term loan

facility, because amounts a revolving borrower repays remain available to reborrow, and no mandatory prepayment event of any kind arose under the Credit Agreement during fiscal 2024.

Debt Issuance Costs - Presentation

The Company's presentation of unamortized debt issuance costs - as a direct deduction from the carrying amount of the Senior Notes and the Industrial Revenue Bonds under ASU 2015-03, and as a deferred asset within other noncurrent assets for the revolving Credit Agreement's line-of-credit costs, amortized ratably over its term regardless of draw - was unchanged during fiscal 2024. What changed is the amortization's run rate: fiscal 2024 is the first year in which the effective-interest amortization on the Senior Notes and the straight-line amortization on the revolving facility both ran for a complete twelve-month period, rather than for the partial period between the Refinancing's closing and the prior year end, so the current year's recognized amortization is larger than the prior year's on an unannualized basis without any change in the underlying cost base or method.

Ranking of the Company's Indebtedness

The relative ranking of the Company's indebtedness was unchanged during fiscal 2024: the Senior Notes remain the Company's senior obligations, ranking equally in right of payment with the Company's other existing and future senior indebtedness, including the Credit Agreement, and senior to any future subordinated indebtedness the Company may incur, while the Industrial Revenue Bonds remain a separate, conduit-issued obligation guaranteed by the Company on an unsecured basis rather than ranking pari passu with the Senior Notes or the Credit Agreement by contractual subordination or priority arrangement. The Company had no subordinated indebtedness outstanding as of December 31, 2024, consistent with the position at the prior year end.

Financial Covenant Calculation - Reporting Cadence

The maintenance financial covenants described in Note 15 continued to be tested quarterly on a trailing-twelve-month basis using the Credit Agreement's defined terms rather than the GAAP measures presented in these financial statements, and the finance function again reconciled each quarterly compliance certificate's supporting computation to the audited annual figures once the fiscal 2024 audit was complete. Unlike the prior year, in which every trailing-twelve-month test necessarily blended pre- and post-Refinancing periods for part of the measurement window, each quarterly test performed during fiscal 2024 measured a period wholly within the post-Refinancing structure; no discrepancy between the quarterly computations and the audited annual figures required restating a previously delivered compliance certificate.

Historical Context for the Refinancing

Management continues to view the capital structure put in place in the Refinancing as appropriate to the Company's business, given the structure's combination of a fixed-rate, longer-dated instrument in the Senior Notes and a variable-rate, revolving instrument in the Credit Agreement sized to the Company's working-capital and seasonal borrowing needs described in Note 15, and did not identify a reason during fiscal 2024 to revisit that structure ahead of the Senior Notes' stated maturity. That assessment carries more weight in fiscal 2024 than it could have a year earlier, because it now rests on a full twelve months of experience operating under the structure - a full year of interest expense, of covenant testing, and of the revolver's seasonal draw pattern - rather than on the partial year of experience available when management first reached that conclusion.

Debt Extinguishment Accounting - Methodology

The methodology the Company applies in evaluating whether a debt transaction is accounted for as a modification or as an extinguishment under ASC 470-50 - comparing the present value of the cash flows under the new or amended instrument's terms to the present value of the remaining cash flows under the original instrument's terms, each discounted at the original instrument's effective interest rate, with a difference of ten percent or more indicating substantially different terms - was not applied to any transaction during fiscal 2024, because the Company neither amended, refinanced, nor extinguished any debt instrument during the year. That is a departure from the prior year, when the methodology was applied to the termination of the credit facility replaced in the Refinancing, and reflects the absence of any debt transaction rather than a change in the methodology itself.

Waivers and Amendments Requested and Granted

Other than the technical amendment described above, the Company did not request, and the lenders under the Credit Agreement or the holders of the Senior Notes did not grant, a waiver of any covenant or other provision of the Credit Agreement or the indenture at any point during fiscal 2024. Management's practice of monitoring the Company's projected covenant compliance sufficiently far in advance to avoid needing to request a waiver in the ordinary course continued unchanged in fiscal 2024, and the improved covenant headroom discussed in Note 15 meant management identified even less occasion during the year than in the prior year to consider whether a waiver might become necessary.

Cross-Default and Cross-Acceleration Provisions

The cross-default provisions in the indenture governing the Senior Notes and in the Credit Agreement - under which a payment default, or an acceleration following an unremedied covenant default, under the Company's other material indebtedness (including, as applicable, the other of the two instruments and the Industrial Revenue Bonds) can itself constitute an event of default under the instrument containing the provision, subject to a minimum dollar threshold - were not triggered at any point during fiscal 2024. That outcome is consistent with the absence of any event of default under any of the Company's debt instruments described above, and, for the first time since the Refinancing, reflects a full fiscal year rather than a partial one in which no triggering event occurred.

Permitted Debt Baskets and Incurrence Capacity

The indenture and the Credit Agreement continue to permit the Company to incur additional indebtedness within defined baskets - including a basket for purchase money and capital lease indebtedness financing property, plant and equipment of the type described in Note 4, a basket for refinancing existing indebtedness on customary terms, and a general basket available without regard to a specific use - each subject to the incurrence-based leverage and coverage tests the governing documents impose above a stated threshold. The Company incurred no indebtedness under any of these baskets during fiscal 2024, having issued no debt of any kind during the year beyond the ordinary-course, seasonally fluctuating borrowings and repayments under the revolving Credit Agreement described above.

Restricted and Unrestricted Subsidiaries

The indenture and the Credit Agreement continue to permit the Company to designate a subsidiary as an unrestricted subsidiary, subject to defined conditions, in which case that subsidiary would cease to be bound by the restrictive covenants described above or required to guarantee the Senior Notes and Credit Agreement obligations, and its results would be excluded from certain covenant computations though not from these consolidated financial statements. The Company designated no subsidiary as an unrestricted subsidiary during fiscal 2024 or as of December 31, 2024; each of the Company's subsidiaries described in Note 22 remains a restricted subsidiary and a guarantor as described in this Note.

Permitted Liens Basket

Beyond the lien granted to the lenders under the Credit Agreement described above, the indenture and the Credit Agreement continue to permit the Company to grant certain other liens within defined baskets - liens securing purchase money and capital lease indebtedness within the baskets described above, liens arising by operation of law in the ordinary course such as mechanics' and materialmen's liens, and a general permitted-liens basket subject to a stated cap. The Company granted no lien outside these permitted categories during fiscal 2024, and had no lien on its assets other than the lien described above and liens falling within these permitted categories as of December 31, 2024.

No Public Market for the Senior Notes

The Senior Notes were issued in a transaction exempt from the registration requirements of the Securities Act of 1933, and no public trading market for them existed as of December 31, 2024; to the extent they trade at all, the Senior Notes trade in privately negotiated secondary-market transactions among institutional investors. Fiscal 2024 is nonetheless the first fiscal year for which a full twelve months of that secondary-market activity is available to observe, whereas the prior year end fell only months after original issuance at par; that longer observation period is what allows the estimated fair value disclosed in Note 13 to diverge meaningfully from the Senior Notes' carrying amount for the first time, a development in the fair value estimate rather than in the market for the Notes itself.

NOTE 7. LEASES

Office space, warehouse and distribution facilities and equipment are leased under agreements classified as operating or finance leases under ASC 842. Whether an arrangement is or contains a lease is determined at inception, and a right-of-use asset and lease liability are recognized at commencement for leases with an initial term above twelve months. The current year required this determination to be made for arrangements the prior year did not have: several equipment arrangements entered into to support the capacity described in Note 4 were assessed, and those conveying the right to control identified equipment were recognized as leases rather than treated as service contracts.

The company amended and extended the lease for its principal distribution warehouse during the third quarter, which was accounted for as a lease modification under asc 842 and remeasured using the company's incremental borrowing rate at the modification date.

The population remains anchored by the ground lease for the primary manufacturing facility, the distribution and warehouse leases, and the corporate office lease. Its composition changed during the year in one respect beyond the modification described above: the third-party public warehouse space referred to in Note 3, used to supplement the Company's own capacity, was reduced as the extended warehouse lease took effect. Those third-party arrangements are short-term or storage-service arrangements rather than leases, so the reduction affects the disclosure in Note 3 rather than the lease population here.

Components of lease cost	Fiscal Year 2024
Operating lease cost	1,919,000.00
Short-term lease cost	206,000.00
Variable lease cost	274,000.00
Finance lease cost	not material
Total lease cost	2,399,000.00

Maturity of lease liabilities	Fiscal Year 2024
Year 1	1,842,000.00
Year 2	1,688,000.00
Year 3	1,535,000.00
Year 4	1,381,000.00
Year 5	844,000.00

Thereafter	384,000.00
Total undiscounted lease payments	7,674,000.00
Less: imputed interest	822,000.00
Total lease liabilities	6,852,000.00

As a result of the warehouse lease modification described above, the weighted-average remaining lease term across the Company's lease population increased and the weighted-average discount rate applied to the Company's lease liabilities changed to reflect the Company's incremental borrowing rate at the modification date, applied prospectively to the modified lease in accordance with ASC 842's modification guidance; the discount rates applicable to the Company's other, unmodified leases were not affected.

Management evaluated the warehouse lease modification under ASC 842-10-25-8 through 25-13 and determined that the modification did not grant the Company an additional right-of-use not included in the original lease at a price commensurate with its standalone price, and therefore accounted for the modification as a remeasurement of the existing lease liability and right-of-use asset, rather than as a separate new lease.

Operating lease cost is recognized straight-line over the term and allocated to cost of goods sold or selling, general and administrative expense by the function of the leased asset. The allocation shifted modestly toward cost of goods sold during the year, because the extended distribution warehouse and the equipment arrangements described above serve the manufacturing and distribution functions rather than the administrative ones. Variable lease cost, consisting principally of common area maintenance and property tax pass-throughs, rose with the larger warehouse footprint.

Renewal Options and Rent Escalation

Certain facility leases carry renewal options and fixed or index-linked escalation. An option is included in the lease term only when the Company is reasonably certain to exercise it. The year's principal judgment of this kind was the warehouse renewal: management concluded the Company was reasonably certain to exercise the extension, given the throughput the completed expansion requires and the cost of relocating distribution, which is why the modification was accounted for as described above rather than left outside the lease term.

Practical Expedients and Policy Elections

The Company elects the ASC 842 short-term exemption for leases with an initial term of twelve months or less, recognizing those payments in expense as incurred rather than on the balance sheet. Short-term lease cost was higher during the year than in the prior one, reflecting temporary equipment hired while the new lines were being brought to full output; management confirms that no such arrangement carried an initial term above twelve months or a purchase option that would have required recognition.

The Company entered into no sale-leaseback transaction and holds no lease under which it acts as lessor. Management specifically considered whether any part of the expanded facility could be regarded as subleased to a third party, since a portion of the site is occupied by a supplier's staff under the logistics arrangement referred to in Note 10, and concluded it could not: that occupancy conveys no right to control an identified space and is terminable at will.

Related-Party and Sublease Arrangements

No lease is with an entity under common control with the Company or with its controlling equity sponsor, and the Company subleases no space to a related party. This was re-tested for the current year rather than carried forward, because the increased volume of business with other sponsor portfolio companies described in Note 10 is the circumstance in which such an arrangement would most plausibly arise. None did; the logistics services described there are purchased, not leased.

Variable Lease Payments Not Included in the Lease Liability

Payments that vary with an index or a rate, and pass-through charges for common area maintenance, insurance and property taxes, are excluded from the lease liability and expensed as incurred. The excluded amount grew during the year with the larger warehouse footprint, and management notes that the modification did not convert any variable component into a fixed one - the extended lease retains the same pass-through structure, so the remeasured liability captures the fixed payments only.

Leases Not Yet Commenced

No material lease had been executed but not yet commenced as of December 31, 2024, so no right-of-use asset or lease liability is recognized for a future arrangement and no such commitment is excluded from the maturity table above. Management notes that this is a change in substance from the prior year end, when the equipment arrangements supporting the expansion were in negotiation; those have since commenced and are within the population described above.

Lease Population by Facility Type

The population falls into three groups: the ground lease for the primary manufacturing site, the distribution and warehouse leases, and the corporate office lease, with equipment leases immaterial individually. The weight among them moved during the year toward the distribution and warehouse group, both because that group's principal lease was extended and because the equipment arrangements recognized during the year serve distribution and manufacturing rather than administration.

Determination of the Incremental Borrowing Rate

Because the rate implicit in the Company's leases is not readily determinable, the incremental borrowing rate is used,

estimated as the rate the Company would pay to borrow on a collateralized basis over a term matching the lease. The estimate mattered more this year than last, since the warehouse remeasurement required a rate to be determined at the modification date rather than simply carried forward. Management derived that rate by reference to the observable yields on the Company's own Senior Notes described in Note 13, adjusted for the shorter lease term and the collateralized nature of the borrowing.

Impairment of Right-of-Use Assets

Right-of-use assets are evaluated for impairment as part of the long-lived asset groups to which they belong, under the policy described in Note 4. The evaluation had a specific focus this year: whether the extended warehouse remains fully utilised, since an extension signed in anticipation of throughput that failed to materialise would be an impairment indicator. Utilisation was consistent with the expectation, and no right-of-use asset was impaired during the year or as of December 31, 2024.

NOTE 8. INCOME TAXES

Income taxes are accounted for under ASC 740, Income Taxes. Fiscal 2024 is the first full fiscal year in which the Company's results reflect a complete twelve months of interest expense on the capital structure put in place in the Refinancing described in Note 6, and the discussion in this Note of the Company's interest deductibility, its estimated payments, and the reversal profile of its temporary differences should be read with that change in mind, because fiscal 2023 carried that interest for part of the year only. The domestic federal statutory corporate rate remained 21.00% throughout the year. The Company is privately held and these statements reflect no tax regime that applies only to public companies or to corporations whose average adjusted financial statement income exceeds the threshold at which such a regime is triggered.

Effective tax rate reconciliation	Fiscal Year 2024
Federal statutory rate	21.00%
State income taxes, net of federal benefit	2.6000%
Permanent differences	0.9000%
Other, net	0.3000%
Effective tax rate	24.8000%

Two features of the current year distinguish this reconciliation from the prior year's. First, the state income taxes line reflects a full year of apportioned income earned under the expanded customer arrangement described in Note 2, which shifted a larger share of sales-sourced income into the states carrying the Company's higher statutory rates and modestly raised the blended state rate. Second, the permanent differences line now includes the non-deductible portion of the settlement of the matter described in Note 9, which was resolved during the year; in the prior year that matter was still arising and contributed no reconciling item at all. Remaining permanent differences are the recurring non-deductible meals and entertainment items.

Deferred taxes are recognized on temporary differences between financial statement carrying amounts and tax bases. The composition of those differences changed during the year in two respects that management considers worth identifying. The modification and extension of the distribution warehouse lease in the third quarter, accounted for under ASC 842 as described in Note 7, caused the right-of-use asset and the lease liability to be remeasured at the modification-date incremental borrowing rate, which reset both the deferred tax asset on the liability and the offsetting deferred tax liability on the asset to amounts materially different from those the prior year's remeasurement-free population produced. Separately, the substantial completion of the capacity-expansion program reduced current-year qualifying additions, so the accelerated-depreciation difference grew far more slowly than in the year the program was being placed in service.

Components of net deferred tax liability	Fiscal Year 2024
Deferred tax assets - allowance for credit losses (Note 1)	(1,039,000.00)
Deferred tax assets - inventory reserves (Note 3)	(866,000.00)
Deferred tax assets - operating lease liabilities (Note 7)	(693,000.00)
Deferred tax assets - accrued liabilities and other	(865,000.00)
Deferred tax liabilities - accelerated tax depreciation (Note 4)	4,880,000.00
Deferred tax liabilities - operating lease right-of-use assets (Note 7)	2,928,000.00
Deferred tax liabilities - intangible assets (Note 5)	1,951,000.00
Valuation allowance	none recorded, see below
Net deferred tax liability	6,296,000.00

No valuation allowance is recorded. In reaching that conclusion for the current year management gave particular weight to the fact that the reversal of the Company's taxable temporary differences, principally the accelerated tax depreciation on the completed expansion, is now scheduled against a full-year earnings base that includes the renewed multi-year supply arrangement described in Note 2, rather than against the partial-year base the prior year's assessment necessarily used. The positive evidence is accordingly stronger than it was a year earlier. As of December 31, 2024 the Company had no federal or state net operating loss carryforward and no tax credit carryforward.

Uncertain Tax Positions

A tax position is recognized only when it is more likely than not, on the technical merits, to be sustained on

examination. The Company had no unrecognized tax benefits at December 31, 2024. Management specifically considered whether the settlement of the matter described in Note 9 during the year gave rise to a position requiring measurement under ASC 740-10 - in particular whether the deductibility and the period of the settlement payment were free from doubt - and concluded that it did not, the character and timing of the deduction being determinable from the settlement agreement itself. Interest and penalties on income taxes, if any, are recognized within income tax expense.

State Income Taxes

The Company files in each state where its activities create income tax nexus and apportions income under each state's statutory formula, which for most of the Company's filing states weights sales sourced to the state heavily or exclusively. The growth in the single customer identified in Note 2 as newly requiring concentration disclosure changed the geographic mix of sales-sourced income during the year, and management reviewed whether that shift moved income into any state in which the Company had not previously filed. It did not: the customer's delivery locations are within states in which the Company already files, so the effect was on apportionment percentages rather than on the set of filing jurisdictions.

Undistributed Earnings of Subsidiaries

All of the Company's subsidiaries are domestic entities included in its consolidated federal return and in its combined or consolidated state returns. ASC 740-30's indefinite reinvestment assertion addresses undistributed earnings of foreign subsidiaries and is therefore not applicable, and the Company recorded no deferred tax liability on undistributed earnings of any subsidiary. No entity was formed, acquired, liquidated or migrated during the year that would change this analysis, and the corporate structure described in Note 22 was unchanged from the prior year end.

Tax Return Filing and Examination Status

Open years remain subject to examination - generally three years from filing for federal purposes and three to four years for the Company's filing states. The Company was under no examination by any taxing authority at December 31, 2024. Management notes that the fiscal 2023 federal return, which reported the Refinancing described in Note 6 and the debt issuance costs arising from it, remains within its open period; management's assessment is that the treatment reported in that return is supportable on its technical merits and that resolution of any examination of it would not have a material effect on the Company's financial position.

The Company timely filed its fiscal 2024 federal and state income tax returns, or timely filed within a properly extended due date, and remitted the amounts it estimated to be due. Cash paid for income taxes during the year, disclosed in Note 14, exceeded the prior year's, reflecting both the higher pre-tax earnings base and the absence of the one-time deductions the Refinancing generated in the prior year.

Tax Sharing and Allocation Arrangements

Because the group files a single consolidated federal return and, in most states, a single combined or consolidated return, no intercompany tax sharing or allocation agreement is needed to apportion the group's liability among its members, and none exists. The Company is likewise not party to any tax sharing, tax indemnification or tax allocation agreement with its controlling equity sponsor or with any other portfolio company of that sponsor, and entered into no such agreement during the year.

Monitoring of Pending Tax Legislation

ASC 740 requires the effect of a change in tax law to be recognized in the period of enactment rather than the period the change takes effect, and management monitors federal and state legislation on that basis. No provision enacted during fiscal 2024 changed a rate, a tax base, or another item affecting the measurement of the Company's deferred balances, so none required recognition in the year. Management separately tracked, without recognizing, proposals that would alter the recovery periods applicable to the property described in Note 4, since a change of that kind would affect the reversal profile of the Company's largest taxable temporary difference.

State Nexus Review

Management reviews annually the states in which the Company's activities create income tax nexus, considering both physical presence and, in states applying economic nexus standards following South Dakota v. Wayfair, Inc., sales activity into the state absent physical presence. The current-year review was directed principally at the states into which the expanded customer arrangement described in Note 2 increased delivery volume. It identified no additional filing state and no state in which nexus had ceased, and confirmed that the increase in volume occurred within states where the Company already has physical presence.

Deferred Tax Asset and Liability Measurement Detail

Each deferred balance is measured at the rate scheduled to be in effect when the underlying temporary difference is expected to reverse, applying the enacted federal rate in the reconciliation above and the blended state rate described earlier in this Note. The current year's measurement required one step the prior year's did not: the lease modification described in Note 7 changed the period over which the right-of-use asset and the lease liability will reverse, so both balances were remeasured against the revised reversal schedule rather than carried forward on the original one. As of December 31, 2024 no previously enacted but not yet effective rate change was scheduled to affect any period relevant to the Company's deferred balances.

Interaction Between Book and Tax Depreciation Methods

The Company depreciates property straight-line for financial reporting, as described in Note 4, and on accelerated recovery periods with any elected additional first-year depreciation for federal tax purposes. The direction of travel

changed during the year. While the capacity-expansion program was being placed in service the gap between the book and tax bases widened each period; with that program substantially complete, current-year qualifying additions fell materially and the tax depreciation on assets placed in service in earlier periods began to decline faster than the corresponding book depreciation. Management expects the accelerated-depreciation temporary difference to have reached, or to be near, its peak.

Federal and State Estimated Tax Payments

Quarterly estimated payments are based on management's projection of current-year taxable income, revised each quarter and trued up on filing. The current year required a larger mid-year revision than the prior year did, because the settlement described in Note 9 and the step-up in volume under the renewed supply arrangement described in Note 2 both landed after the first quarter's estimate had been set. Management revised the projection in the third quarter accordingly; the Company incurred no estimated-tax underpayment penalty for the year.

Tax Basis of Assets Acquired in Prior Business Combinations

The goodwill and intangible assets described in Note 5 arose in business combinations completed before the earliest year presented, and carry a tax basis fixed by the structure of each combination; where that basis differs from the financial statement carrying amount the difference sits within the deferred tax liability for intangible assets shown above. Management considered whether the goodwill impairment assessment that the auditors identified as a critical audit matter for the current year affected that tax basis, and confirmed it did not - the assessment concluded without an impairment charge, and a book impairment would in any event not change the tax basis of the goodwill.

Section 163(j) Interest Expense Limitation

Section 163(j) limits the deduction for business interest expense to business interest income plus a stated percentage of adjusted taxable income, with any disallowance carried forward indefinitely. This is the first year the test has been applied to a full twelve months of interest on the capital structure described in Note 6, rather than to the partial year the Refinancing produced, and management therefore re-performed the computation rather than relying on the prior year's headroom. Measured against the Company's adjusted taxable income for the year, the limitation disallowed no portion of the Company's business interest expense, and no disallowed interest was carried forward into the following year.

Bonus Depreciation and Section 179 Elections

The Company continues to elect additional first-year depreciation under Section 168(k), at the percentage applicable to property placed in service during the year, and to expense qualifying property under Section 179 within that section's annual limits. The amounts these elections covered fell substantially from the prior year, for two reasons operating in the same direction: the expansion program that generated the prior year's qualifying additions reached substantial completion, and the applicable Section 168(k) percentage continued its statutory phase-down. The elections affect the timing of the deduction, and so the measurement of the accelerated-depreciation deferred tax liability, not the total deduction available over the assets' lives.

NOTE 9. COMMITMENTS AND CONTINGENCIES

The Company is party to the indenture governing the Senior Notes, the Credit Agreement, and the guarantee of the Industrial Revenue Bonds described in Note 6, each of which contains customary covenants, including restrictions on liens, restricted payments, additional indebtedness, and fundamental changes, and maintenance financial covenants under the Credit Agreement consisting of a maximum total net leverage ratio and a minimum fixed charge coverage ratio, each tested quarterly. The year just ended is the first in which all four quarterly test dates fell after the Refinancing described in Note 6 closed, and the Company was in compliance with all such covenants at each test date and as of December 31, 2024, with headroom under the leverage covenant that improved relative to the prior year for the reasons described in Note 15.

The Company has entered into purchase commitments with certain raw material suppliers in the ordinary course of business; none of these commitments, individually or in the aggregate, is material to the Company's liquidity or capital resources. The table below no longer includes a material component attributable to the capacity-expansion program described in Note 4, because that program reached substantial completion during the year, and the remaining purchase commitments to its contractors and equipment vendors, described further below under Capital Commitments, wound down to an amount the Company does not consider material as construction milestones were completed and accepted.

Future minimum purchase commitments	Fiscal Year 2024
Year 1	4,470,000.00
Year 2	3,418,000.00
Year 3	2,367,000.00
Thereafter	2,893,000.00
Total	13,148,000.00

Guarantees Issued to Third Parties

In addition to the guarantee of the Industrial Revenue Bonds described in Note 6, the Company has, in the ordinary course of business, issued surety bonds and similar performance guarantees to certain customers and governmental authorities in connection with the performance of its contractual obligations. A portion of that surety bond program had supported the general contractor's and certain subcontractors' performance obligations under the capacity-expansion program described in Note 4; as that program reached substantial completion during the year, the related

construction bonds were released or allowed to expire, and the Company did not issue a replacement construction-related bond. The Company was not required to make any payment under any guarantee outstanding during the year, and management does not believe any remaining guarantee is reasonably likely to result in a material payment obligation.

The surety bonds and performance guarantees described above, including the construction bonds released or allowed to expire as described above, are issued by third-party surety providers unaffiliated with the Company, rather than being direct obligations of the Company payable on demand; the Company would be obligated to indemnify the surety provider only if a beneficiary made a valid claim under the applicable bond or guarantee and the surety provider paid that claim. No beneficiary made a claim, and no surety provider paid a claim, under any bond outstanding at any time during the year, including the construction bonds before their release, and the Company's indemnity obligation with respect to each released bond terminated upon its release.

Legal Proceedings

The contractual claim described in the Company's financial statements for the prior fiscal year, in which a customer alleged that certain product shipments failed to conform to specifications under a long-term supply agreement, was resolved during the current year by mutual agreement of the parties on terms that did not include any payment by the Company and did not modify the underlying supply agreement. No liability was accrued or paid with respect to this matter in any period presented, and the matter is now closed.

The resolution was reached through the negotiation process contemplated by the underlying supply agreement's dispute resolution provisions, without either party formally commencing litigation or arbitration. Management considered the resolution in evaluating whether any similar claim by another customer under a similarly worded supply agreement was reasonably possible as of period end, and concluded that no such claim, known or unknown, was probable or reasonably estimable as of period end.

Because the matter was resolved without payment by the Company and without any liability having been accrued in any period presented, its resolution did not require any adjustment to previously issued financial statements, and is not itself an accounting change or error correction within the scope of the guidance described in Note 21.

Management is not aware of any other customer contract dispute of a similar nature that arose, or was pending, as of December 31, 2024, and considers the underlying supply agreement's dispute resolution provisions to have functioned effectively as intended in resolving the matter promptly and without escalation to litigation or arbitration proceedings of any kind.

The Company is also, from time to time, party to other claims and legal proceedings arising in the ordinary course of business. Management does not believe that the resolution of any such other matter, individually or in the aggregate, would have a material adverse effect on the Company's consolidated financial condition, results of operations, or cash flows.

Product Warranty Reserve

Changes in the Company's product warranty reserve, described in Note 1, during the year consisted of accruals for warranties issued on shipments during the year, reduced by settlements of warranty claims made during the year under warranties issued in the current and prior years, and by adjustments to reflect changes in estimates of expected claim costs based on the Company's most recent claim experience. Warranty accruals recognized on shipments increased broadly in proportion to the higher shipment volume the newly completed capacity described in Note 4 supported for a full year, rather than reflecting any change in the warranty rate management applies per unit shipped. The resulting reserve remained not material to the Company's consolidated balance sheet as of period end.

The Company's standard product warranty generally covers defects in materials and workmanship for a stated period following shipment, and does not cover damage arising from misuse, improper installation, or ordinary wear and tear. Warranty terms applicable to product manufactured on the newly completed capacity are the same warranty terms applicable to product manufactured on the Company's existing lines, and the Company's claims experience during the year, now covering a full twelve months of production on the expanded capacity rather than the partial year reflected in the prior year, did not indicate any systemic quality issue attributable to the new capacity, or otherwise requiring a change in the Company's warranty reserve methodology.

Environmental Matters

The Company's manufacturing operations, including the expanded operations described in Note 4, are subject to federal, state, and local environmental laws and regulations governing, among other things, air emissions, wastewater discharges, and the generation, handling, storage, and disposal of hazardous materials. With the capacity-expansion program at substantial completion, the environmental permits and permit modifications obtained for the expanded operations were in force for the full year, rather than for only the partial period following their issuance in the prior year. The Company believes its operations, including the expanded operations, are in material compliance with applicable environmental requirements and had no material environmental remediation liability accrued as of period end, consistent with the policy described in Note 1.

The capacity-expansion program described in Note 4 reached substantial completion during the year, and the Company confirmed, as part of that completion, that the operations it added were being conducted in accordance with each permit modification obtained in connection with the program, without a condition requiring further permit amendment before the expanded operations could continue at their designed capacity. The Company is not aware of any pending or threatened environmental enforcement action against the Company as of period end, whether relating

to the newly completed capacity or to the Company's previously existing operations.

Insurance and Self-Insured Risks

The Company maintains commercial insurance coverage for general liability, property, product liability, and directors' and officers' liability risks, subject to deductibles and self-insured retentions that management considers customary for a company of the Company's size and industry. Property insurance limits were increased during the year to reflect the completed capacity-expansion program described in Note 4, which had been insured during construction under a builder's risk policy that terminated upon substantial completion and was not renewed. The Company is self-insured, up to certain stop-loss limits, for a portion of its workers' compensation and employee group health obligations, and accrues a liability for the estimated cost of claims incurred but not yet paid, including an estimate of claims incurred but not yet reported, based on historical claims experience.

The Credit Agreement described in Note 6 requires the Company to maintain insurance of the types and in the amounts customary for companies engaged in a similar business, and, with respect to certain of the Company's property insurance, to name the administrative agent under the Credit Agreement as an additional insured or loss payee, as applicable; the administrative agent's designation was updated to reflect the increased property insurance limits described above. The Company was in compliance with these insurance requirements throughout the year, its first full year in which the requirement applied across a complete twelve months rather than only the period following the Refinancing's closing in the prior year.

Indemnification Obligations and Letters of Credit

The Company has entered into indemnification agreements with each of its directors and executive officers, and customary indemnification provisions in the ordinary course of business with certain customers, suppliers, and other counterparties, including the landlord under the distribution warehouse lease amended and extended during the third quarter as described in Note 7. That amendment carried forward the existing landlord indemnification provision on substantially the same terms, without expanding its scope, and did not require the Company to post a new or increased letter of credit in the landlord's favor beyond the security deposit already held under the original lease. The Company is unable to estimate the maximum potential amount of future payments, if any, that it could be required to make under these indemnification arrangements, and has not recorded any liability for these arrangements as of period end, because the likelihood of any required payment is not probable and, in most cases, not reasonably estimable. The Company had outstanding letters of credit issued under the revolving Credit Agreement described in Note 6 in support of certain of its insurance and other ordinary-course obligations; those letters of credit were not increased in connection with the warehouse lease amendment described above, and continue to reduce availability under the revolving Credit Agreement described in Note 15 without being recorded as a liability unless and until a draw is made.

Capital Commitments

As of December 31, 2024, the Company had outstanding purchase commitments to third-party contractors and equipment vendors for the remaining, uncompleted portion of continued build-out of the capacity added in the prior year, at a materially lower run rate of capital spending as the expansion program reached substantial completion, representing amounts the Company was contractually obligated to pay as the final construction milestones were achieved or equipment was delivered and accepted. Because the program reached substantial completion during the year, the population of open commitments at period end was concentrated in close-out items, retention amounts payable upon final acceptance, and minor scope additions, rather than in the larger uncompleted-scope commitments outstanding a year earlier. These commitments are not recorded as a liability until the related goods or services are received, consistent with the Company's policy for purchase commitments described above, and are included within the future minimum purchase commitments table above to the extent quantifiable at period end.

Guarantees to Landlords

In connection with certain of the facility leases described in Note 7, including the distribution warehouse lease amended and extended during the third quarter, the Company has agreed to indemnify the applicable landlord against certain losses arising from the Company's use of the leased premises, consistent with customary commercial lease terms. The third-quarter amendment carried the warehouse landlord's existing indemnity forward without broadening its scope or duration beyond what the extended lease term itself implies. These indemnification obligations are not separately quantified because, consistent with the indemnification obligations described above, the likelihood and amount of any required payment is not reasonably estimable. None of the Company's landlords, including the warehouse landlord, holds a separate guarantee from the Company's controlling equity sponsor or from any other affiliate of the Company.

Regulatory Inquiries

During the year, a state regulatory agency responsible for administering workplace safety requirements conducted a routine, unannounced inspection of the Company's primary manufacturing facility, consistent with that agency's ordinary-course inspection program applicable to manufacturers of the Company's size and industry, and issued no citation and assessed no penalty as a result of the inspection. Because the inspection was routine and resulted in no citation or penalty, management does not consider it to have given rise to a loss contingency within the scope of ASC 450, and no liability has been accrued with respect to it.

Product Liability Claims Experience

In the ordinary course of business, the Company is from time to time named as a defendant in product liability claims

alleging that a Company product caused personal injury or property damage. The Company maintains the product liability insurance coverage described above, subject to deductibles and self-insured retentions consistent with the Company's overall insurance program, and accrues a liability for a specific claim only when an unfavorable outcome is probable and the amount of loss can be reasonably estimated. The Company's product liability claims experience during the year, its first full year of shipments from the expanded capacity described in Note 4, was consistent with its historical experience on a per-unit-shipped basis, and no individual claim, and no group of related claims, was material to the Company's financial condition, results of operations, or cash flows.

Purchase Option and Right of First Refusal Arrangements

The Company is not a party to any purchase option, right of first refusal, or similar arrangement granting a third party the right to acquire the Company, any material asset of the Company, or any equity interest in the Company, other than as may arise under the customary change of control provisions of the indenture governing the Senior Notes and the Credit Agreement described in Note 6 - provisions that, during the year just ended, applied for the first time across a complete fiscal year rather than only the partial period following the Refinancing's June 2023 closing - and the customary transfer restrictions applicable to the Company's common equity under its governing equity documents, neither of which is a purchase option or right of first refusal in the sense addressed by this Note.

Product Recall Risk

The Company maintains a documented product recall procedure applicable to each of its core product lines, consistent with applicable consumer and industrial product safety requirements, under which the Company would notify affected customers and, where required, the relevant regulatory authority, and would recall or retrofit affected product, in the event a safety-related design or manufacturing defect were identified. That procedure applied without modification to product manufactured on the capacity added by the expansion program described in Note 4, now in its first full year of production. The Company did not initiate a product recall during the year, and management is not aware of a condition, including any condition related to the newly completed capacity, that it believes would require a recall as of the date these financial statements were available to be issued.

Take-or-Pay and Minimum Purchase Arrangements

The Company is not a party to a take-or-pay contract, a minimum purchase commitment with a customer, or a similar arrangement obligating a customer to purchase a minimum quantity of the Company's products regardless of actual demand. This includes the renewed multi-year supply agreement with the customer identified in Note 2 and Note 12 as having crossed a concentration threshold requiring separate disclosure under ASC 280 during the year: that renewal increased the term and the volume the customer is expected to purchase, but did not convert the arrangement into a contractually enforceable minimum-purchase or take-or-pay obligation running in the Company's favor. The Company is likewise not a party to a similar minimum-purchase obligation running the other way, as a buyer, with respect to its own raw material purchases beyond the future minimum purchase commitments quantified in the table above.

Litigation Reserve - Methodology Cross-Reference

The methodology management applies to determine whether, and in what amount, to accrue a reserve for a legal proceeding - assessing whether an unfavorable outcome is probable, reasonably possible, or remote, and, for a probable loss, estimating the best estimate within a range of possible outcomes - is described in detail in Note 17's discussion of critical accounting estimates. That methodology was not applied to accrue any reserve during the year, because the customer claim described above was resolved without payment and without a probable, estimable loss ever having arisen. The auditors' critical audit matter for the year was instead the assessment of goodwill for impairment described in Note 5 and Note 17, which concluded with no impairment; that assessment is a distinct area of judgment from the litigation reserve methodology and did not draw on it.

Sponsor Guarantee of Company Obligations

The Company's controlling equity sponsor has not guaranteed, and is not otherwise liable for, any obligation of the Company under the indenture governing the Senior Notes, the Credit Agreement, or the Industrial Revenue Bonds described in Note 6, or any other material obligation of the Company; each of those obligations is an obligation of the Company and its subsidiary guarantors only, consistent with the customary limited-recourse structure of a sponsor-owned portfolio company financing of this type. This remained the case throughout the year, which was the first full year in which that limited-recourse structure applied for the entirety of a fiscal year, rather than for only the portion of fiscal 2023 that followed the Refinancing's June 2023 closing.

Contractual Obligations Not Otherwise Disclosed

The Company reviewed each of its material contracts - including the customer supply agreements described in Note 2, including the renewed multi-year agreement described above, the raw material purchasing arrangements described in Note 2 and Note 3, the facility leases described in Note 7, including the amended warehouse lease, the management services agreement described in Note 10, and the financing documents described in Note 6 - and concluded that no such contract contains a commitment or contingency of a type or magnitude that would require disclosure under ASC 440, Commitments, or ASC 450, Contingencies, beyond the commitments and contingencies described elsewhere in this Note. This review supports the disclosure controls described in Management's Statement on Internal Control Over Financial Reporting above, and was completed for fiscal year end without identifying an additional disclosure item.

Environmental Site Assessments

The Company obtained a Phase I environmental site assessment of its primary manufacturing facility in connection with the Refinancing described in Note 6, which closed in June 2023, consistent with customary due diligence for a secured financing transaction of that type, and the assessment did not identify a recognized environmental condition requiring further investigation or remediation. The Company has not obtained a subsequent environmental site assessment since the Refinancing, having identified no event or condition during the year - including the substantial completion of the capacity-expansion program described in Note 4, which did not itself trigger a customary requirement for an updated assessment - that management believed would warrant one.

Title Insurance and Real Property Matters

In connection with the Refinancing, the Company obtained an updated title insurance policy with respect to its primary manufacturing facility, consistent with the collateral due diligence customary for a secured financing of that type, and the title review did not identify a title defect, easement, or encumbrance that management considered material to the Company's use of the facility. Unlike the year the Refinancing closed, the year just ended included no financing transaction that would customarily prompt an updated title review, and management is not aware of a title matter arising during the year, including any arising from the capacity-expansion program's substantial completion described in Note 4, that would require an update to that title insurance policy as of December 31, 2024.

Standby Letters of Credit to Governmental Authorities

In addition to the letters of credit described above supporting insurance and other ordinary-course obligations, the Company maintains a standby letter of credit issued under the revolving Credit Agreement in favor of the relevant state environmental authority, consistent with a financial assurance requirement customary for a facility of the type operated by the Company. That standby letter of credit, and the financial assurance requirement underlying it, applied for the first time to a full year of the expanded operations described in Note 4, rather than to operations still under construction, and its stated amount was not required to increase as a result; it was not drawn upon during the year.

NOTE 10. RELATED PARTY TRANSACTIONS

The Company paid annual management, monitoring, consulting and advisory fees to its controlling equity sponsor throughout the year under the management services agreement entered into concurrently with the Refinancing described in Note 6. The current year is the first to carry a full twelve months of that fee; the prior year carried it only from the date the agreement was executed, which is the principal reason the expense within selling, general and administrative expense described in Note 24 increased. The agreement's terms were not amended during the year.

The Company had no other material related party transaction during the year. Management specifically considered whether the resolution of the customer claim described in Note 9 involved a related party, since a sponsor affiliate acting for either side would make it one, and confirmed that neither the counterparty nor any adviser engaged on the Company's behalf in that matter is affiliated with the sponsor. Members of the board and executive officers held no interest in any transaction with the Company beyond those described in this Note.

Board Representation and Governance

The board includes directors designated by the controlling equity sponsor under the sponsor's governing equity documents, together with the Company's Chief Executive Officer. Its composition did not change during the year, and no independent director was added or removed. The corporate structure through which the sponsor holds its interest is described in Note 22 and likewise did not change.

The board met periodically through the year to review financial performance, compliance with the financial covenants described in Note 6, and capital allocation. Two matters occupied it more than they did in the prior year: the completion and hand-over of the capacity-expansion program described in Note 4, and the negotiation and settlement of the claim described in Note 9. The board also reviewed the goodwill impairment assessment identified by the auditors as a critical audit matter.

Cost Allocation Methodology

The fee is set by the management services agreement as a fixed annual amount subject to the adjustment mechanics that agreement specifies, rather than by allocating the sponsor's costs to the Company. Because the amount is fixed rather than activity-based, the increase in the Company's own scale during the year did not itself change the fee, and management notes that the fee therefore fell as a proportion of revenue relative to the prior year.

Transactions with Other Sponsor Portfolio Companies

The Company buys packaging materials and certain logistics services from other portfolio companies of its controlling equity sponsor on arm's-length terms. Purchase volume rose during the year in step with the higher shipment volume the completed expansion produced. Management re-tested the arm's-length character of the logistics pricing during the year, against quotations obtained from unaffiliated carriers, precisely because the growth in volume made the arrangement more significant than it had been.

The audit committee function of the board reviews and, where the Company's related-party transaction policy requires, approves such transactions. It reviewed the increased logistics volume described above under that policy during the year and approved its continuation. No transaction was entered into that the policy required to be approved and was not.

Director and Officer Transactions Outside the Ordinary Course

Beyond the indemnification agreements described in Note 9 and customary compensation and expense reimbursement for employee directors and executive officers, no director or officer was party to a transaction with the Company outside the ordinary course during the year. No loan was made to, and no guarantee was given for the

benefit of, any director or officer.

Sponsor Expense Reimbursement

The management services agreement provides for reimbursement of the sponsor's reasonable out-of-pocket expenses incurred in connection with services rendered. Amounts reimbursed during the year were lower than in the prior year, which management attributes to the absence of the transaction-related travel and diligence expense the Refinancing generated in the year the agreement was signed.

Equity Contributions and Distributions

No capital contribution was made by the controlling equity sponsor during the year, and no distribution was made to equity holders, as of December 31, 2024. Management notes that the restricted payments covenants described in Note 6 and Note 15 would have governed any such distribution, and that the improvement in covenant headroom described in Note 15 did not prompt one.

NOTE 11. EMPLOYEE BENEFIT PLANS

The Company sponsors a defined contribution plan qualified under Section 401(k) of the Internal Revenue Code, matching a portion of participating employees' elective deferrals. Matching contribution expense rose during the year, and management attributes the increase principally to headcount rather than to any change in the plan's terms: the production and maintenance positions added for the capacity-expansion program described in Note 4 were filled through the prior year and were employed, and eligible, for the whole of the current year, whereas the prior year included many of those positions for part of the year only. No amendment was made to the match formula, the eligibility conditions, or the vesting schedule during the year.

Defined contribution plan	Fiscal Year 2024
Employer matching contribution expense	recognized as incurred, within SG&A
Vesting schedule for matching contributions	graded vesting over service period

The Company sponsors no defined benefit pension plan and no other postretirement benefit plan, and therefore recognizes no projected benefit obligation, no plan assets, and no actuarial gain or loss in accumulated other comprehensive income. Management confirms that no such plan was established, assumed, or acquired during the year, and that the Company took on no obligation of that type in connection with the completion of the expansion program.

Health and Welfare Benefits

Eligible domestic employees may participate in group health, dental, vision, life and disability programs, the medical component of which the Company funds on a partially self-insured basis behind stop-loss coverage. The larger covered population described above increased both contributions and claims volume during the year. Management reviewed the adequacy of the stop-loss attachment point in light of that larger population at the annual renewal and retained the existing structure, having concluded that claims experience per covered life was consistent with the assumptions underlying it.

Equity-Based Compensation

Certain members of management hold profits interests or similar incentive interests in an entity above the Company in the ownership structure described in Note 22. Because those interests are issued by a parent entity and are settled in the equity of that entity rather than the Company's, and because no grant was made by the Company itself, the Company recognized no share-based compensation expense for the year under ASC 718. No interest held by management vested by reason of an event occurring during the year.

Plan Eligibility and Participation

Employees become eligible on completing the plan's stated service requirement, and are enrolled on the next entry date. The participation rate among eligible employees improved modestly over the prior year. Management notes that the improvement is a mechanical consequence of tenure rather than of any change in plan design: the employees hired for the expansion program passed the service requirement during the prior year and were eligible for the whole of the current one.

Nonqualified Deferred Compensation

The Company sponsors no nonqualified deferred compensation arrangement subject to Section 409A of the Internal Revenue Code, holds no rabbi trust, and has recorded no liability of that character. No such arrangement was adopted during the year, and no compensation otherwise payable to any employee or director was deferred beyond the year in which it was earned.

Workers' Compensation and State-Mandated Benefit Programs

Beyond the self-insured workers' compensation program described in Note 9, the Company participates in the state unemployment and disability programs applicable in the states where its employees work. The Company's experience-rated workers' compensation premium reflected the safety performance discussed in Note 19, and management notes that the inspection conducted during the year by the state agency responsible for workplace safety, described in Note 9, closed without a citation carrying a monetary penalty and therefore did not affect the Company's rating.

Plan Administration and Fiduciary Oversight

The board, or a committee to which it has delegated the function, oversees the defined contribution plan's investment menu and the reasonableness of the fees participants bear. The committee completed its periodic benchmarking of recordkeeping and investment fees during the year and, as of December 31, 2024, had made no change to the plan's

trustee or recordkeeper. The plan's annual report was filed within the applicable deadline and the plan was not the subject of any inquiry by a regulatory authority.

Multiemployer Plan Exposure

No employee is represented by a collective bargaining unit, as stated in the human capital discussion in Note 19, so the Company contributes to no multiemployer pension plan and has no withdrawal liability, no exposure to the funded status of any such plan, and nothing to disclose under ASC 715-80. Nothing occurring during the year created an obligation of that kind.

NOTE 12. SEGMENT INFORMATION

The chief operating decision maker reviews financial information, and allocates resources, on the basis of a single operating and reportable segment engaged in manufacturing and selling the Company's core product lines. Substantially all long-lived assets are located, and substantially all revenue generated, within the United States. The completion of the capacity-expansion program described in Note 4 did not create a second segment: the additional lines produce within the existing product families, are managed by the same operating leadership, and are not reviewed separately by the chief operating decision maker.

The Company adopted ASU 2023-07, Segment Reporting - Improvements to Reportable Segment Disclosures, in the current year. The Company's chief operating decision maker is its Chief Executive Officer, who reviews Consolidated EBITDA, as defined for purposes of the Credit Agreement described in Note 6, as the primary measure of segment profit or loss used to assess performance and allocate resources, together with the significant segment expense categories set out below.

Significant segment expenses (ASU 2023-07)	Fiscal Year 2024
Cost of goods sold	reviewed regularly by the CODM
Selling, general and administrative expense	reviewed regularly by the CODM
Depreciation and amortization expense	per the condensed statement above
Other segment items	reconciling to Consolidated Net Income

Prior to the adoption of ASU 2023-07 in the current year, the Company's segment disclosures did not separately identify significant segment expenses, the title and position of the chief operating decision maker, or an explanation of how the chief operating decision maker uses the reported measure of segment profit or loss; these disclosures are new in the current year as a direct result of adopting the standard, and are not indicative of any change in the way management actually runs the business, which is unchanged from the prior fiscal year.

Geographic Information

Revenue and long-lived assets by geography	Fiscal Year 2024
United States - revenue	substantially all of total revenue
Outside the United States - revenue	not material
United States - long-lived assets	substantially all of total long-lived assets
Outside the United States - long-lived assets	not material

Major Customers

One customer that had not individually exceeded a reportable concentration threshold in the prior year grew, through a combination of organic volume increase and a renewed multi-year supply agreement, to represent a concentration requiring separate disclosure under asc 280, consistent with Note 2.

The customer described above and in Note 2 accounted for greater than ten percent of the Company's total revenue for fiscal 2024; no other customer exceeded that threshold.

Basis of Segment Determination

In concluding that it operates as one operating and reportable segment, management applied ASC 280's definition of an operating segment to the way the business is actually run: one set of operating results is reviewed by the chief operating decision maker, and resources are allocated against that single set. The conclusion was re-tested this year against two developments that could have disturbed it - the expanded capacity and the emergence of a customer above the concentration threshold - and neither did, because neither produced a separate set of results that the chief operating decision maker reviews.

Reconciliation of segment measure of profit or loss to Consolidated Net Income	Fiscal Year 2024
Consolidated EBITDA measure reviewed by the CODM	35,648,000.00
Less: depreciation and amortization expense	9,537,000.00
Less: Consolidated Interest Expense	14,537,000.00
Less: provision for income taxes	2,870,000.00
Consolidated Net Income	8,704,000.00

Resource Allocation

The Chief Executive Officer allocates capital and other resources across the single segment rather than between competing segments. The character of that allocation changed materially during the year: with the expansion program substantially complete, the dominant call on capital in the prior year fell away, and allocation decisions shifted toward maintenance and replacement spending and toward reducing reliance on the revolving facility described in Note 15. No allocation decision during the year required distinguishing between product lines in a way that would suggest more than one segment.

Long-Lived Assets and Their Function Within the Single Segment

Because there is one segment, the long-lived assets described in Note 4 are employed in that segment as a whole rather than assigned to components of it. The assets added by the expansion are physically integrated into the existing manufacturing facility and share its utilities, material handling and workforce, which is a further reason no separate component with discrete financial results exists to be reported.

History of the Segment Determination

The single-segment determination has been unchanged across every period presented, and the current year is the first in which management had a substantive reason to revisit it rather than simply reaffirm it. The reason was the expansion, which added capacity capable in principle of being managed as a separate unit. Management confirms it is not managed that way, and that no internal reporting package presents its results separately.

Information Regularly Reviewed by the CODM

Beyond Consolidated EBITDA and the significant segment expense categories tabulated above, the chief operating decision maker regularly reviews revenue, gross margin, the covenant compliance position described in Note 6 and the liquidity position described in Note 15. Two items were added to that regular review during the year: throughput and yield on the newly commissioned lines, and the payment performance of the customer that crossed the concentration threshold. Neither is reported to the chief operating decision maker as a separate segment's results.

Assets Employed in the Single Segment

Total assets as presented on the consolidated balance sheet are the segment's assets; no allocation between segments is required or performed. The composition shifted during the year as of December 31, 2024 in ways described elsewhere - property, plant and equipment rising with the assets placed in service and raw material inventory falling back from the elevated level held during commissioning - but the total remains a single segment's asset base.

Comparison to Internal Product-Line Reporting

Revenue is disaggregated by product line for the Note 2 disclosure, and management is explicit that this does not create operating segments: the disaggregation stops at revenue and does not extend to a measure of profit or loss by product line, so no product line has discrete financial results that the chief operating decision maker could review. The products made on the new lines fall within the existing disaggregation categories rather than forming a new one.

Effect of the Refinancing on Segment Reporting

The Refinancing described in Note 6 changed the capital structure but not the operating structure, so it had no effect on the segment determination. Its residual effect on this Note in the current year is confined to the reconciliation above, where a full twelve months of Consolidated Interest Expense now sits between the Consolidated EBITDA measure the chief operating decision maker reviews and Consolidated Net Income, against a partial year in the prior period.

Entity-Wide Product and Service Disclosures

The product-line revenue disaggregation in Note 2 satisfies ASC 280's entity-wide requirement to disclose revenue by product and service for a single-segment entity, and the geographic table above satisfies the entity-wide geographic requirement. The major-customer requirement is satisfied by the disclosure above, and this is the first year in which that requirement produced a substantive disclosure rather than a statement that no customer exceeded the threshold.

Basis of Measurement for Segment Profit or Loss

Consolidated EBITDA, the measure of segment profit or loss, is defined for Credit Agreement purposes and is described in the informational summary in Note 16; it is not a measure defined by GAAP, and the reconciliation above bridges it to Consolidated Net Income. Management notes that using a covenant-defined measure as the segment measure means the addback categories that definition permits, rather than any judgment specific to segment reporting, determine what the chief operating decision maker sees.

Recurring Segment Reporting Process

The finance function prepares this Note's information from the same ledger and consolidation process that produces the financial statements, so the segment measure and the reconciling line items tie to the statements by construction rather than by a separate reconciliation exercise. The process required extension in the current year to capture the significant segment expense categories that ASU 2023-07 newly requires, which management implemented within the existing close calendar rather than as a separate reporting cycle.

NOTE 13. FAIR VALUE OF FINANCIAL INSTRUMENTS

Cash and cash equivalents, trade accounts receivable, accounts payable and accrued liabilities are carried at amounts that approximate fair value, given their short maturities. That conclusion was unchanged during the year, although management notes that the growth in the single customer identified in Note 2 as newly requiring concentration disclosure increased the share of the receivable balance attributable to one counterparty; management considered whether that concentration affected the approximation and concluded it did not, the receivable's short collection cycle rather than the identity of the payer being what supports it.

Pricing inputs for the investment portfolio are obtained from a single independent third-party pricing service, and management evaluates whether those inputs are observable and whether the service's methodology remains appropriate. The current year's evaluation extended to the question of whether any security held had become sufficiently illiquid that quoted inputs no longer represented an orderly transaction price. None had, and no security was moved to a measurement based on unobservable inputs.

The Senior Notes and the Industrial Revenue Bonds described in Note 6 are carried at amortized cost, and their fair values are disclosed rather than recognized. The relationship between the two moved during the year in a way the prior year could not have shown: the Senior Notes were issued at par in the Refinancing, so at the prior year end the estimated fair value stood close to the carrying amount, while a full year of secondary-market observation has since produced a spread between them. Management regards that divergence as a function of the market rate environment rather than of any change in the Company's own credit profile.

Fair value disclosure - carrying amount vs. estimated fair value	Fiscal Year 2024
Senior Notes - carrying amount, net of issuance costs	173,448,000.00
Senior Notes - estimated fair value (Level 2)	167,387,500.00
Revolving credit facility - carrying amount	12,000,000.00
Industrial Revenue Bonds - carrying amount	24,500,000.00

The Senior Notes' estimated fair value rests on Level 2 inputs - observable transactions in the Notes themselves where available, and otherwise quoted yields on instruments of comparable tenor, coupon and credit standing. Because a full year of trading history now exists, the current year's estimate relies more heavily on observed transactions in the Notes and correspondingly less on comparable-instrument inference than the prior year's estimate necessarily did.

A nonrecurring fair value measurement of a nonfinancial asset was required during the year. The annual assessment of goodwill for impairment - the matter the auditors identified as a critical audit matter, and described in Note 5 - required management to estimate the fair value of the reporting unit using unobservable inputs, principally projected cash flows and a discount rate, which places the measurement in Level 3. The assessment concluded that the reporting unit's fair value exceeded its carrying amount and no impairment charge was recorded, so no nonfinancial asset is carried at a fair value measured during the year.

No financial instrument transferred between Level 1, Level 2 or Level 3 during the year. Management reviewed the two events with the greatest potential to cause a transfer - the lengthening trading history of the Senior Notes and the remeasurement of the lease obligations described in Note 7 - and confirmed that neither did: the Notes remained a Level 2 disclosure throughout, and lease obligations are not measured at fair value on any recurring basis.

Valuation Process and Controls

The finance function, not an outside valuation specialist, owns the Company's fair value measurements, and reconciles the prices the pricing service supplies against an independent source before using them. The goodwill measurement described above required the function to extend that process for the year: the projections underlying it were reviewed against the board-approved operating plan, and the discount rate was corroborated against observable market data rather than derived internally alone.

Investment Portfolio - Issuer and Instrument Composition

The portfolio is composed of instruments issued by unaffiliated obligors and is held consistently with the investment policy referred to in Note 1's discussion of concentration of credit risk. Management reviewed the portfolio's composition during the year against the policy's issuer and maturity limits, and reports no exception. No instrument was issued by a customer of the Company, by a lender under the Credit Agreement, or by an affiliate of the Company's controlling equity sponsor.

Fair Value of Guarantees

The guarantee of the Industrial Revenue Bonds described in Note 6, and the indemnification obligations described in Note 9, are not measured at fair value, no separate liability having been recognized for either because no loss under them is probable and estimable. Management reassessed that conclusion for the current year, including in light of the resolution of the customer claim described in Note 9, and did not change it.

Nonfinancial Asset Valuation Techniques Considered

For the goodwill measurement described above, management considered both an income approach based on discounted projected cash flows and a market approach based on multiples observed for comparable businesses, and gave primary weight to the income approach because the reporting unit's projected cash flows are supported by the operating plan and the supply arrangements described in Note 2, while genuinely comparable public market multiples for a business of this size and product mix are limited. The market approach was used as a corroborative check.

Fair Value Disclosures for the Industrial Revenue Bonds

The estimated fair value of the Industrial Revenue Bonds is not separately disclosed. The issue trades rarely, and management's view - unchanged during the year and re-examined against the current year's trading record - is that the transactions observable in it are too infrequent to support an estimate that would be more informative to a reader than the amortized cost carrying amount already presented, together with the instrument's stated terms in Note 6.

Frequency of Fair Value Measurement

The investment portfolio is measured at fair value at each interim and annual reporting date. The current year differs from the prior year in that a nonrecurring measurement was also performed, for the goodwill assessment described above. As of December 31, 2024 the portfolio remained the only asset or liability of the Company measured at fair value on a recurring basis.

Concentration Within the Pricing Service Relationship

Relying on one pricing service for the recurring measurement concentrates the Company's exposure to a single

provider's methodology. Management's mitigation is the independent corroboration described above rather than the engagement of a second service, which management does not consider warranted for a portfolio of this size. The service's methodology disclosures were reviewed during the year and no change was identified that would affect the observability of the inputs supplied.

Financial Instruments Measured at Amortized Cost - Summary

In summary, the investment portfolio is the Company's only financial instrument measured at fair value on a recurring basis; every other financial instrument the Company holds or owes is measured at amortized cost, with fair value disclosed only for the Senior Notes. The one change from the prior year's summary is the nonrecurring Level 3 measurement performed for the goodwill assessment, which resulted in no adjustment to any carrying amount.

NOTE 14. SUPPLEMENTAL CASH FLOW INFORMATION

These disclosures are provided under ASC 230, Statement of Cash Flows, to present cash paid during the year for interest and income taxes and the significant non-cash items affecting the Company's assets and liabilities. Both cash lines moved materially from the prior year and for the same underlying reason: the current year is the first to carry twelve months of interest on the capital structure established in the Refinancing described in Note 6, while cash taxes rose on the higher pre-tax earnings base and the absence of the one-time deductions that Refinancing generated.

Supplemental disclosure	Fiscal Year 2024
Cash paid for interest	14,296,000.00
Cash paid for income taxes, net of refunds	2,698,000.00
Non-cash: right-of-use assets obtained in exchange for new operating lease liabilities	2,056,000.00
Non-cash: property and equipment acquired but unpaid at period end	892,000.00

No debt was issued or extinguished during the year, so financing activities consist principally of net borrowings and repayments under the revolving credit facility described in Note 6. The non-cash right-of-use asset line is larger than a year of ordinary lease activity would produce, because the modification and extension of the distribution warehouse lease described in Note 7 required the right-of-use asset and lease liability to be remeasured at the modification-date incremental borrowing rate, and that remeasurement is reported as a non-cash addition rather than as an investing outflow.

Interest paid is classified as an operating activity and repayment of debt principal as a financing activity. The unpaid property and equipment line fell sharply from the prior year, which is the balance-sheet trace of the capacity-expansion program reaching substantial completion: at the prior year end a significant amount of contractor and equipment invoicing remained in accounts payable, and at the current year end comparatively little does.

The Company had no discontinued operation and no cash flow classified as held for sale in any period presented. Management confirms that no business or asset group was disposed of, or classified as held for sale, during the year, and that the completion of the expansion program involved no disposal of the capacity it replaced beyond the ordinary retirements described in Note 4.

Cash Flow Classification Policy

Cash receipts and payments are classified by direct identification of the nature of each flow rather than by any indirect allocation. One classification question arose during the year that had not arisen in the prior one: the settlement of the customer claim described in Note 9. Management classified the payment as an operating outflow, the claim having arisen from the Company's ordinary revenue-generating activity rather than from a financing or investing transaction.

Restricted Cash

The Company held no restricted cash or restricted cash equivalent as of December 31, 2024, consistent with Note 1, so the beginning-of-period and end-of-period totals in the statement of cash flows comprise unrestricted cash and cash equivalents only and require no reconciliation. Management notes that the letters of credit described in Note 9 are undrawn commitments supported by the revolving facility rather than cash collateral, and so give rise to no restricted cash.

NOTE 15. LIQUIDITY AND CAPITAL RESOURCES

Liquidity comes from operating cash flow and from availability under the revolving Credit Agreement described in Note 6. The balance between the two shifted favourably during the year: with the capacity-expansion program substantially complete, the call on cash for capital expenditure fell materially from the prior year, so a larger share of operating cash flow was available for debt service and general corporate purposes without recourse to the revolver. This is also the first year in which operating cash flow absorbed a full twelve months of interest on the capital structure described in Note 6.

Projected covenant compliance is monitored as part of regular liquidity forecasting. Management's assessment is that operating cash flow and revolver availability are sufficient to meet obligations as they come due for at least twelve months from the date these statements were available to be issued. The current year's forecast rests on a firmer base than the prior year's in one respect worth stating: the renewed multi-year supply arrangement described in Note 2 gives visibility over a larger share of projected revenue than the Company had a year earlier.

Neither the Senior Notes nor the Industrial Revenue Bonds amortize before the periods described in Note 6, so scheduled principal repayment is not a call on liquidity in the near term; the Industrial Revenue Bonds' serial maturities do not begin retiring principal until 2027. The revolver is the only instrument whose drawn balance fluctuates within the year, for the seasonal reasons described below.

Revolving credit facility availability	Fiscal Year 2024
Total committed amount	60,000,000.00
Less: letters of credit outstanding (Note 9)	900,000.00
Availability for additional borrowing	47,100,000.00

Capital Allocation

Restricted payments to the controlling equity sponsor, including any distribution of the kind discussed in Note 10, are limited by the restricted payments covenants in the indenture and the Credit Agreement. The Company made none during the year. With the expansion program complete, the competing use that dominated the prior year's capital allocation has fallen away, and management's stated priority for the current year was reducing reliance on the revolver rather than returning capital.

Off-Balance-Sheet Arrangements

Apart from the operating leases in Note 7, the letters of credit and guarantees in Note 9, and the guarantee of the Industrial Revenue Bonds in Note 6, the Company has no off-balance-sheet arrangement, and it entered into none during the year. The absence of a receivables factoring or securitization facility, and of a supplier finance program, is addressed in Note 23; both were re-tested for the current year rather than assumed.

Seasonality of Working Capital

Working capital requirements move over the year with the seasonal demand pattern of the Company's industrial and commercial customers, which typically raises the revolver's drawn balance in the first half and reduces it in the second. The current year's pattern was less pronounced than the prior year's, because the prior year superimposed expansion-related spending on the seasonal cycle; the current year shows the seasonal movement closer to its underlying shape.

Forward-Looking Capital Expenditure Plans

Management expects capital expenditure in the fiscal year following the year presented to remain at a level consistent with the Company's maintenance and replacement requirements, rather than the elevated level the capacity-expansion program described in Note 4 required while it was in construction. No further discrete expansion program has been approved by the board. Management notes that the expenditure required to complete the remaining scope of the existing program is not material to the Company's liquidity.

Sources and Uses of Liquidity - Qualitative Summary

The forecasting process weighs projected operating inflows, taking the seasonality above into account, against interest on the instruments in Note 6, capital expenditure at the level described immediately above, lease payments under Note 7 as remeasured following the modification described there, income tax payments per Note 8, and the management fee in Note 10. The change in the mix from the prior year is principally the fall in the capital expenditure line and the rise in the interest line to a full-year basis.

Covenant Headroom - Qualitative Discussion

Headroom under the maintenance covenants described in Note 6 is assessed both at each quarterly test date and on a forward-looking basis across the forecast period. Headroom improved over the course of the year, for two reasons operating together: the earnings base against which the ratio is measured benefited from a full year of the expanded capacity, while the lower capital expenditure reduced the need to draw. As of December 31, 2024 the Company was in compliance with each maintenance covenant, and management's forecast shows compliance throughout the forecast period.

Alternative Sources of Liquidity Considered

Management periodically considers whether an incremental financing source - an increase in the Credit Agreement's committed amount, an additional secured or unsecured facility, or a sponsor equity contribution - would be appropriate. The consideration reached a different conclusion this year than it would have during the expansion: with capital expenditure normalising and revolver availability adequate, management identified no need for an incremental source, and the Company approached no lender for one. The receivables-based alternative is addressed and dismissed in Note 23.

NOTE 16. THE CREDIT AGREEMENT'S CONSOLIDATED EBITDA DEFINITION (INFORMATIONAL SUMMARY)

The Credit Agreement described in Note 6 defines 'Consolidated EBITDA' for purposes of calculating the maintenance financial covenants described in Note 15 and the restricted-payments and incurrence covenants described in Note 6 and Note 9. As in the prior fiscal year, that definition is a defined term of the Credit Agreement rather than a GAAP measure, and this Note again summarizes, for the reader's convenience, only the general structure of the definition, without restating the Credit Agreement's own defined-term language or any period-specific computation. Fiscal 2024 is the first full fiscal year in which Consolidated EBITDA has been computed against twelve full months of the capital structure put in place by the Refinancing described in Note 6, rather than the partial period the Refinancing year itself covered.

The definition's starting point and its permitted addback categories are unchanged from the definition summarized in the prior fiscal year's financial statements. In general terms, the definition begins with Consolidated Net Income for the applicable period and adds back provision for income taxes, Consolidated Interest Expense, and depreciation and amortization expense. It then permits further addbacks and adjustments common to credit agreements of this type, in categories that include non-cash charges, extraordinary or nonrecurring items, transaction and integration costs incurred in connection with permitted acquisitions, equity-based compensation expense of the type described in Note

11, fees paid to the Company's controlling equity sponsor under the management services agreement described in Note 10, and, subject to a stated cap, projected cost savings and synergies.

The definition also addresses certain items that reduce Consolidated EBITDA and contains the customary drafting conventions - defined baskets, caps, and cross-references to other defined terms in the Credit Agreement - ordinarily found in a leveraged credit facility of this size and type. Management reviewed these conventions during fiscal 2024 specifically because the year was the first in which the twelve-month measurement period and the segment-measure use described below both applied, and confirmed that no amendment to the Credit Agreement's defined term was made or proposed during the year. Management's own computation for covenant-compliance purposes remains documented in the periodic compliance certificate delivered to the administrative agent, a separate work product not audited as part of these financial statements.

A new consideration in fiscal 2024, addressed further in Note 12, is that the adoption of ASU 2023-07 made a measure derived from this same Consolidated EBITDA definition the disclosed segment measure of profit or loss reviewed by the chief operating decision maker, so the definition now serves two distinct purposes within these financial statements where in the prior fiscal year it served only the covenant-compliance purpose. A reader should therefore take particular care to identify which purpose - covenant compliance under Note 15 or Note 6, or segment reporting under Note 12 - a given reference to Consolidated EBITDA in these notes is serving, rather than assuming the two uses are computed, presented, or reconciled identically.

Preparation and Delivery of the Compliance Certificate

The compliance certificate referenced above continued in fiscal 2024 to be prepared by the Company's finance function on the periodic basis the Credit Agreement requires, using the defined terms and computational conventions set out in the Credit Agreement itself, and continued to be reviewed by the Company's Chief Financial Officer before delivery to the administrative agent. For the first time, the certificates delivered during the year reflected a full twelve months of the post-Refinancing capital structure rather than a partial period, a difference in measurement period rather than in preparation method. Because the compliance certificate is a covenant-compliance work product rather than a financial statement, it continues not to be prepared in accordance with GAAP, audited, or incorporated by reference into these financial statements.

This Note's Relationship to Note 6 and Note 15

This Note continues to be provided solely to help a reader understand, in general terms, why Consolidated EBITDA is relevant to the maintenance covenants described in Note 15 and to the incurrence-based covenants described in Note 6 and Note 9; it does not modify, and is not a substitute for, the Credit Agreement's own defined-term language, which controls in the event of any inconsistency with this summary, consistent with the caution stated in Note 20. Consolidated EBITDA's newly disclosed role as the segment measure of profit or loss is addressed separately in Note 12 and is not restated here, because that role concerns segment reporting under ASC 280 rather than the covenant compliance this Note addresses.

NOTE 17. CRITICAL ACCOUNTING ESTIMATES

This Note expands on the estimates identified as significant in Note 1, describing for each the methodology, the principal inputs and judgments, and the sensitivity of the reported amount to those judgments. The composition of the list shifted during the year rather than merely being restated: the goodwill assessment moved from a qualitative trigger evaluation to a full quantitative measurement and became the matter the auditors identified as a critical audit matter, while the litigation reserve moved in the opposite direction, from an estimate of an unresolved exposure to the confirmation of a concluded settlement.

Allowance for Credit Losses on Trade Accounts Receivable

The allowance is estimated under Topic 326 using a loss-rate methodology applied to pools of receivables sharing risk characteristics, adjusted for current conditions and reasonable forecasts. The pooling judgment required more attention this year. The growth of the single customer described in Note 2 meant one counterparty came to represent a materially larger share of the balance, and management considered whether that customer should be evaluated individually rather than within a pool. It concluded that pooled evaluation remained appropriate, the customer's risk characteristics not differing from its pool, but recorded the judgment as one to revisit if the concentration grows.

Recoverability of Goodwill

As described in Note 5, management estimates the fair value of the Company's single reporting unit using a discounted cash flow method corroborated by a market multiple analysis. The principal inputs are projected cash flows drawn from the board-approved operating plan, a terminal growth rate, and a discount rate reflecting the estimated weighted average cost of capital. The estimate is the most judgmental in these statements: a reasonably possible increase in the discount rate, or a reduction in projected cash flows of the order that a loss of the concentrated customer described in Note 2 would produce, would narrow the excess of fair value over carrying amount, although management's assessment concluded that no impairment existed.

Useful Lives of Long-Lived Assets

Useful lives assigned to property, plant and equipment (Note 4) and to finite-lived intangibles (Note 5) rest on management's expectation of the period over which each asset will contribute economic benefit. This year required lives to be assigned to the equipment installed under the capacity-expansion program as it was placed in service, which is a genuinely new judgment rather than the continuation of an existing one; management assigned lives by reference to the established lives of comparable equipment already operating at the facility, adjusted where the new

equipment's duty cycle differs.

Realizability of Deferred Tax Assets

The conclusion in Note 8 that no valuation allowance is required rests on judgments about future taxable income and the reversal pattern of existing taxable temporary differences. The judgment is better supported than a year ago in one specific respect: the reversal of the accelerated depreciation difference is now measured against a full-year earnings base that includes the renewed supply arrangement described in Note 2, rather than against the partial-year base the prior year's assessment necessarily used.

Contingencies and Litigation Reserves

Whether a loss contingency is accrued, and at what amount, turns on judgments about whether an unfavourable outcome is probable and whether the loss is reasonably estimable. The character of this estimate changed during the year: the customer claim described in Note 9 was resolved, so the question moved from estimating an unresolved exposure to confirming that the concluded terms required no further accrual. Management assessed whether the resolution established a pattern relevant to estimating any future claim of the same type and concluded it did not, no comparable claim being pending at December 31, 2024.

Reserve for Excess and Obsolete Inventory

As described in Note 3, the reserve requires estimating, by category, the quantity unlikely to be consumed or sold within a reasonable period. The estimate was harder this year for a structural reason: the historical usage rates on which it normally relies are a weak guide for part numbers consumed by the newly commissioned lines, which have no multi-year usage history. Management supplemented usage history with the forward demand implied by the supply arrangements in Note 2, and reserved in full a raw material specific to a component design superseded when those lines were configured.

Product Warranty Reserve

The warranty reserve applies historical claim experience to recent shipment volumes. The same difficulty arises here as in the inventory reserve and management identifies it explicitly: products manufactured on the new lines have been in the field for less than a full warranty period, so their claim experience is not yet a reliable predictor. Management applied the experience of the Company's comparable established products to those shipments, which it considers the best available basis while acknowledging that actual experience on the newer products could differ.

Useful Lives of Property, Plant and Equipment

The life assigned to each category of property, plant and equipment directly determines depreciation expense, and a change would affect future periods prospectively. The weighted average life of the Company's asset base lengthened during the year, simply because the newly placed-in-service expansion assets carry longer remaining lives than the mature assets they supplement. Management reviewed the lives of the existing asset base for impairment indicators arising from the expansion - an older line rendered redundant would be such an indicator - and identified none.

Fair Value of the Investment Portfolio

As described in Note 13, the Company relies on a single independent third-party pricing service using Level 2 inputs. The judgment is whether those inputs remain observable and the service's methodology appropriate. This year's review extended to whether any holding had become sufficiently illiquid that quoted inputs no longer represented an orderly transaction price, and to the service's own published methodology changes; neither produced a change in level or in the estimate.

Amortization Period for Customer Relationship Intangibles

The life assigned to the customer relationship intangibles described in Note 5 reflects management's judgment, made when the relevant business combination was completed, about the period over which the acquired relationships would generate benefit. Management reassessed that period during the year in light of a development that cuts in favour of it: the renewal of the multi-year supply agreement described in Note 2 by a customer within the acquired relationship base. The reassessment supported the existing life, so no change was made, and the remaining amortization period was not extended.

NOTE 18. RISK MANAGEMENT AND MARKET RISK

Interest Rate Risk

Interest rate risk arises from borrowings under the revolving credit facility described in Note 6, which bear interest at a variable SOFR-based rate; the Senior Notes carry a fixed coupon and expose the Company to no cash-flow interest rate risk. The current year is the first in which the Company carried that variable-rate exposure for a full twelve months, the facility having been put in place partway through the prior year, so the sensitivity of interest expense to a movement in the reference rate is correspondingly greater than the prior year's reported exposure would suggest. The Company holds no interest rate hedge.

Commodity and Raw Material Price Risk

The Company is exposed to movements in the price of the raw materials described in Note 3, and holds no commodity derivative. Its mitigation is commercial: the purchase commitments described in Note 9 fix quantities and, in some cases, prices for a period ahead. The current year's exposure profile differs from the prior year's because the volume commitments were sized for the completed expanded capacity rather than for capacity still being brought into service, which lengthens the period over which a price movement would work through cost of sales.

Customer Credit Risk

Customer credit risk is managed through the credit evaluation process described in Note 2 and the allowance for

credit losses described in Note 1. This risk changed in character during the year. In the prior year no single customer exceeded a concentration threshold requiring separate disclosure; in the current year one did, as Note 2 describes, so the Company's exposure is now materially more sensitive to the financial condition of a single counterparty. Management monitors that customer's payment performance specifically, and reports no deterioration.

Liquidity Risk

Note 15 describes the Company's liquidity sources and its capacity under the revolving facility. Management observes that the current year's liquidity position benefited from a development the prior year did not have: with the expansion program substantially complete, the call on cash for capital expenditure fell materially, so a larger share of operating cash flow was available for debt service and general corporate purposes.

Concentration of Credit Risk - Cross-Reference

Concentrations with respect to cash, the investment portfolio and trade receivables are described in Note 1, Note 2 and Note 13. Taken together, the current year's most significant change in concentration is on the receivable side rather than the cash or investment side, for the reason given under Customer Credit Risk above; the Company's banking and investment counterparties were unchanged during the year.

Operational and Business Continuity Risk

Results depend on continued operation of the primary manufacturing facility described in the Description of Business. The completion of the expansion program cuts two ways, and management identifies both directions: additional capacity at the same site adds redundancy within the facility, while concentrating a larger share of the Company's total output at a single location. The business continuity plan described in Note 19 was reviewed during the year against the expanded footprint.

Information Systems and Cybersecurity Risk

The Company depends on information systems supporting manufacturing, order processing and financial reporting, and maintains access controls, monitoring and backup arrangements over them. The systems supporting the added production capacity were brought within the same control environment during the year. The Company experienced no information security incident during the year that had a material effect on its operations or that required notification to a customer or a regulatory authority.

Regulatory and Compliance Risk

Operations are subject to the environmental, health and safety framework described in Note 19 and to the trade compliance requirements described in Note 25. The current year included one event of the kind this risk contemplates: the inspection by the state agency responsible for workplace safety described in Note 9. It closed without a citation carrying a monetary penalty, and management treats the matter as an indication that the compliance program operated as intended rather than as a change in the risk itself.

Key Personnel Risk

The Company depends in part on retaining its senior management team, few of whom are subject to an employment agreement of fixed term. Management notes that the completion of the expansion program removed a specific concentration of institutional knowledge that existed while the program was in construction, when a small number of individuals held the detailed knowledge of its execution. Succession planning is described in Note 19.

Raw Material Price and Availability Risk - Cross-Reference

Note 3 describes the raw materials themselves and Note 2 the supplier base from which they are sourced. Availability, as distinct from price, was tested during the year by the higher throughput the completed capacity required, and the supplier base met the increased call without the Company qualifying an additional source of supply for any principal raw material.

Interest Rate Sensitivity - Qualitative Discussion

Because only the revolving facility bears a variable rate, the Company's sensitivity to a change in the reference rate is a function of the amount drawn under it rather than of total indebtedness, the great majority of which is fixed-rate. Management therefore monitors the drawn balance as the operative exposure measure. A hypothetical movement in the reference rate applied to the drawn balance would not, in management's assessment, have affected the Company's compliance with the maintenance covenant described in Note 6 as of December 31, 2024.

Concentration of Cash and Investments with Financial Institutions

Cash, cash equivalents and the investment portfolio described in Note 13 are held with a small number of financial institutions, in amounts that exceed federal deposit insurance limits. Management reviewed the credit standing of each institution during the year and made no change to the set of institutions used. None of them is an affiliate of the Company or of its controlling equity sponsor, and none is a lender under the Credit Agreement in a capacity that would concentrate the two exposures.

Currency Risk - Cross-Reference

Consistent with Note 1's foreign currency policy and the geographic information in Note 12, substantially all of the Company's revenue, cost and net assets are denominated in U.S. dollars, so the Company has no material transactional or translational currency exposure and holds no currency derivative. The increased volume described in Note 2 was delivered domestically and did not change this position.

NOTE 19. HUMAN CAPITAL AND ENVIRONMENTAL, HEALTH AND SAFETY

Human Capital

The Company regards its workforce as central to executing its strategy, and its human capital priorities for the year

reflected the stage the business had reached: with the capacity-expansion program described in Note 4 substantially complete, the emphasis moved from recruiting into new positions, which dominated the prior year, to retaining and developing the people already in them and to stabilising the staffing of the expanded production lines across shifts. No employee is represented by a collective bargaining unit and the Company is party to no collective bargaining agreement. No representation petition was filed, and no organizing activity was brought to management's attention, during the year. Management is not aware of any pending labor dispute or unfair labor practice charge involving the Company.

Environmental, Health and Safety

The Company operates a formal environmental, health and safety program at its manufacturing facility, covering hazard identification, incident investigation and corrective action. The program's principal task during the year was to bring the equipment and work areas added by the expansion fully within its existing procedures - machine guarding, lockout procedures and job hazard analyses were extended to the new lines - whereas in the prior year much of that equipment was still under construction and subject to the contractor's own safety program.

Workforce Composition and Turnover

The workforce is composed principally of hourly production and maintenance personnel at the manufacturing facility, with a smaller salaried population in engineering, sales and administration. Voluntary turnover among hourly employees declined from the prior year, which management attributes to the maturing tenure profile of the employees hired for the expansion; total headcount was broadly flat over the year, in contrast to the prior year's increase.

Training and Talent Development

Beyond the safety, quality and job-specific technical training described above, the Company delivers training addressed to the skills its operations require. The current year's program was directed principally at qualifying existing operators on the equipment installed under the expansion, and at cross-training maintenance personnel on it, so that capability for the new lines is not concentrated in the few employees who commissioned them.

Permits and Environmental Compliance Status

The facility operates under air emissions, wastewater discharge and waste management permits issued by the applicable federal, state and local authorities. The permit modifications required for the expanded operations, applied for while the program was in construction, were in effect for the whole of the current year, and the facility operated within the limits each permit sets. As of December 31, 2024 the Company was subject to no notice of violation, consent order or corrective action requirement under any environmental permit or law.

Safety Performance Metrics

Management tracks the total recordable incident rate and the lost workday incident rate, and reviews both with the board. Management notes that the current year's rates are the first computed over a full year of operation at the expanded scale, so the hours-worked denominator is materially larger than the prior year's and the rates are correspondingly more informative as a measure of the program's effectiveness. No fatality and no catastrophic injury occurred at any Company location during the year.

Emergency Preparedness and Incident Response

The Company maintains a written emergency response plan for the manufacturing facility, addressing fire, chemical release, severe weather and medical emergency, and exercises it periodically with local responders. The plan was revised during the year to reflect the expanded floor area and the revised evacuation routes it created, and the revised plan was exercised before the year end.

Compensation Philosophy

The Company aims to set hourly and salaried compensation at levels competitive within the local labor markets in which it recruits, informed by periodic reference to survey data. The current year's review gave particular attention to the production and maintenance classifications staffing the expanded lines, where the Company competes for a narrower pool of qualified candidates than for its general hourly population.

Succession Planning

Consistent with the key personnel discussion in Note 18, the board periodically reviews succession for the senior management team. The current year's review extended below the senior team to the plant leadership positions responsible for the expanded operations, the Company having concluded that the operational knowledge accumulated during the expansion should not rest with a single individual.

Whistleblower and Ethics Reporting

The Company maintains a code of conduct applicable to employees, officers and directors, and a mechanism by which a concern may be reported without identifying the reporter. Reports received during the year were reviewed under the procedure the code prescribes, and none related to accounting, internal control over financial reporting or auditing matters, or resulted in a restatement or an adjustment to these financial statements.

Community and Facility-Level Engagement

The Company engages, on a modest scale, with the community near its manufacturing facility. The engagement of note during the year concerned the completed expansion: the Company met with local authorities regarding traffic and noise associated with the higher volume of inbound and outbound shipments the expanded operation generates, and no formal complaint or proceeding arose from those discussions.

MANAGEMENT'S STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Management is responsible for establishing and maintaining adequate internal control over financial reporting, as that

term is used in the reporting covenants of the indenture governing the Senior Notes and, by cross-reference, the Credit Agreement. Internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with GAAP, including, for fiscal 2024, the preparation of the significant-segment-expense disclosures the Company adopted under ASU 2023-07, described in Note 12, for the first time. Management's responsibility for internal control over financial reporting extends equally to those new disclosures as to the Company's previously required financial statement disclosures.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate. Management assessed the Company's internal control over financial reporting as of December 31, 2024, giving particular attention to the added complexity the year's closing process presented - the new segment expense disclosures described below, the Note 7 lease remeasurement, and the Note 9 claim settlement - and concluded that internal control over financial reporting was effective as of that date. This statement is not an attestation report of the Company's independent auditors, and the indenture does not require the auditors to attest to, or report on, management's assessment.

There was no change in the Company's internal control over financial reporting during fiscal 2024 that materially affected, or is reasonably likely to materially affect, the Company's internal control over financial reporting.

Control Framework

Management's evaluation of the design and operating effectiveness of the Company's internal control over financial reporting is performed using the framework set out in Internal Control - Integrated Framework, issued by the Committee of Sponsoring Organizations of the Treadway Commission (the 'COSO framework'), which organizes internal control into five interrelated components: control environment, risk assessment, control activities, information and communication, and monitoring activities. Management's assessment as of December 31, 2024 gave particular attention to the information and communication component, because the closing process was extended for the new ASU 2023-07 segment expense disclosures, the Note 7 lease remeasurement, and the Note 9 claim settlement, and concluded that each of the five components was nonetheless present and functioning, and that the components were operating together in an integrated manner, consistent with the standard the COSO framework establishes for effectiveness.

Disclosure Controls and Procedures

In addition to internal control over financial reporting, management maintains disclosure controls and procedures designed to ensure that information the Company is required to disclose to the trustee under the indenture governing the Senior Notes, and to the administrative agent under the Credit Agreement, is recorded, processed, summarized, and reported within the time periods those governing documents specify, and is accumulated and communicated to the Company's management, including its Chief Executive Officer and Chief Financial Officer, to allow timely decisions regarding required disclosure. The closing process for fiscal 2024 required more time than the prior year to compile the new segment expense disclosures, the lease remeasurement, and the claim settlement referenced above, and management extended its reporting calendar accordingly. Management nonetheless evaluated the disclosure controls and procedures as of December 31, 2024 and concluded they were effective at the reasonable assurance level.

Role of the Board of Directors

The Company's board of directors, through its audit committee function described in Note 10, oversees management's assessment of internal control over financial reporting and receives periodic reporting from management regarding the design and operation of the Company's key financial reporting controls, including any control deficiency identified and the status of its remediation. During fiscal 2024, that reporting addressed the extension of the closing calendar for the new ASU 2023-07 segment expense disclosures, the Note 7 lease remeasurement, and the settlement of the customer claim described in Note 9. No control deficiency identified in connection with those matters, or otherwise during fiscal 2024, rose to the level of a significant deficiency or a material weakness, as those terms are used in the auditing literature referenced in the Report of Independent Auditors above.

GLOSSARY OF DEFINED TERMS USED IN THESE NOTES

The following terms, capitalized where they appear in these notes, have the meanings set out below. As in the prior fiscal year, a term defined in the indenture governing the Senior Notes or in the Credit Agreement and used in these notes consistently with that document's own defined-term usage is not separately redefined here beyond the brief description given below; the governing document itself controls in the event of any inconsistency. This year's glossary groups each term with the specific note in which it is most heavily used, because the terms a reader is likely to look up in fiscal 2024 differ somewhat from the terms most consulted in the prior fiscal year.

Term	Brief description, as used in these notes
the segment measure of profit or loss	the measure derived from Consolidated EBITDA and disclosed under ASU 2023-07, described in Note 12
Consolidated EBITDA	the defined term in the Credit Agreement summarized, without restating its full text, in Note 16, and the starting point for the segment measure described in Note 12

lease modification	a change in the scope of, or consideration for, a lease accounted for under ASC 842, as described for the warehouse lease in Note 7
the Company	the Company and its consolidated subsidiaries, taken as a whole, unless the context requires otherwise (see Description of Business and Organization)
GAAP	accounting principles generally accepted in the United States of America
the Refinancing	the June 2023 issuance of the Senior Notes and entry into the Credit Agreement described in Note 6
the Senior Notes	the Company's senior notes described in Note 6
the Credit Agreement	the revolving credit agreement described in Note 6
the controlling equity sponsor	the private equity sponsor described in Description of Business and Organization, which controls the Company's common equity
CECL / Topic 326	the current expected credit loss model under ASC 326, described in Note 1
CODM	chief operating decision maker, as that term is used in ASC 280 and described in Note 12

This glossary is provided for the reader's convenience and is not itself a source of GAAP guidance or of any right or obligation under the indenture governing the Senior Notes or the Credit Agreement; each such document's own defined terms, as used within that document, govern its interpretation for fiscal 2024 and every other period. The reordering above reflects usage during fiscal 2024 rather than any change in a term's meaning: the segment measure of profit or loss and the lease-modification term appear first because ASU 2023-07's adoption and the warehouse lease modification described in Note 7 made them the terms most likely to need explanation this year, not because either term is newly defined.

Additional Terms Used Descriptively Rather Than as Defined Terms

Several terms used throughout these notes - including 'Refinancing,' 'Company,' and 'controlling equity sponsor,' each described in the table above - continue to be used descriptively for the reader's convenience and are capitalized in these notes purely as a matter of drafting style, rather than because the term is a formally defined term of these financial statements themselves in the way that a term such as 'Consolidated EBITDA' is a formally defined term of the Credit Agreement. Where this glossary describes such a term, that description is intended only to orient the reader and carries no independent legal or accounting significance beyond the description of the underlying fact or arrangement it refers to.

The trustee, the administrative agent, and the IRB trustee described in Note 20 continue to be referred to in these notes by their role rather than by their corporate name, consistent with the practice this glossary follows throughout; a reader seeking the identity of any of these institutions should refer to the governing document under which that institution acts, which is not restated in these financial statements for the reasons given in Note 20 and elsewhere in these notes. Management confirmed during fiscal 2024 that each institution continued to act in the same single capacity described in that Note, with no additional role assumed or role vacated during the year.

Fiscal-year and period-end references throughout these notes for fiscal 2024 use the specific dates given in the Description of Business and Organization section and in Note 1's Basis of Presentation discussion; where a note refers generally to 'the year' without repeating the specific dates, that reference means the fiscal year ended December 31, 2024 identified in this glossary and in the heading of these financial statements. The terms newly prominent in this glossary - the segment measure of profit or loss and lease modification - are each also cross-referenced from the note that first uses them, consistent with the cross-referencing convention this glossary follows for every other term.

NOTE 20. TRUSTEE, PAYING AGENT AND REGISTRAR

A financial institution unaffiliated with the Company continues to serve as trustee, paying agent, and registrar under the indenture governing the Senior Notes, and continues to receive customary trustee and agency fees for its services, together with reimbursement of its reasonable expenses, as provided in the fee letter between the Company and the trustee. During fiscal 2024, management reviewed that fee letter in the ordinary course and confirmed that no successor-trustee provision, resignation notice, or removal event under the indenture was triggered during the year. The trustee continued to hold the Senior Notes' global note on behalf of the beneficial holders, distribute scheduled interest and principal payments, and maintain the register of holders.

A separate financial institution continues to serve as administrative agent under the Credit Agreement, administering borrowings and repayments under the revolving credit facility among the several lenders party to the Credit Agreement. During fiscal 2024, the administrative agent received and distributed the compliance certificates and other periodic reporting described in Note 16 and Note 6 on the same schedule the Credit Agreement requires, and no amendment or waiver request required coordination among the lenders beyond the ordinary course. Fees payable to the administrative agent remained immaterial to the Company's results of operations, consistent with the prior fiscal year.

The IRB Trustee and Conduit Issuer

A third financial institution, unaffiliated with the Company, continues to serve as trustee under the trust indenture governing the Industrial Revenue Bonds described in Note 6, and the municipal conduit issuer referenced in that Note remains a governmental or quasi-governmental entity organized to facilitate the financing of qualifying industrial facilities within its jurisdiction. Management reconfirmed during fiscal 2024, in connection with the variable-interest-

entity analysis described in Note 22, that the conduit issuer's role remains limited to issuing the Industrial Revenue Bonds and loaning the proceeds to the Company, and that the conduit issuer has no financial obligation with respect to the bonds beyond that limited role.

No Affiliation Between the Company's Agents

The trustee under the indenture governing the Senior Notes, the administrative agent under the Credit Agreement, and the trustee under the trust indenture governing the Industrial Revenue Bonds remain three separate financial institutions, none of which is affiliated with the Company, with its controlling equity sponsor, or with one another; each continues to act solely in its respective capacity under the governing document that appoints it, with no role under the other governing documents described in this Note. Management's periodic review of each relationship during fiscal 2024, including the compliance-certificate and continuing-disclosure deliveries made through these agents during the year, found no change in this arrangement as of December 31, 2024.

NOTE 21. ACCOUNTING CHANGES AND ERROR CORRECTIONS

Other than adopting the pronouncements Note 1 describes, the Company made no voluntary change during the year in an accounting principle within the scope of ASC 250, Accounting Changes and Error Corrections. The resolution during the year of the customer claim described in Note 9, which had first arisen in the prior fiscal year, was a current-year event rather than evidence of a misstatement in a previously issued financial statement, and the Company accordingly identified no material misstatement requiring correction and recorded no restatement of, or adjustment to, any previously issued financial statements.

Changes in Accounting Estimate

As described in Note 7, the Company remeasured the weighted-average discount rate applicable to the modified warehouse lease during the year, using the Company's incremental borrowing rate at the modification date. This remeasurement is a direct consequence of applying ASC 842's lease modification guidance to the specific modification described in Note 7, rather than a discretionary change in an accounting estimate or a change in accounting principle within the scope of ASC 250, and accordingly is not accounted for prospectively as a change in estimate under that standard.

NOTE 22. CORPORATE STRUCTURE

The Company continues to be organized under the laws of a state of the United States, and each of its consolidated subsidiaries described in Note 1 continues to be a wholly owned direct or indirect subsidiary of the Company organized under the laws of a state of the United States. The Company continues to have no equity-method or other unconsolidated investment in any entity, other than the debt securities described in the Investments section of Note 1. Management reconfirmed during fiscal 2024 that no entity was formed, acquired, merged, dissolved, or otherwise liquidated within the consolidated group during the year.

The Senior Notes, the borrowings under the Credit Agreement, and the Industrial Revenue Bonds each continue to be obligations of the Company as described in the indenture, the Credit Agreement, and the related financing documents described in Note 6, which govern the security, guarantee, and lien-priority arrangements, if any, applicable to each instrument. This Note does not restate those arrangements, which are set out in full in the governing documents themselves. Management confirmed that the completed capacity-expansion program described in Note 4 added production assets within an existing subsidiary guarantor rather than through formation of, or contribution to, any new entity, so the arrangements described above required no reconsideration during fiscal 2024.

Subsidiary Organization

Each of the Company's consolidated subsidiaries continues to be organized to hold or operate a discrete portion of the Company's manufacturing, distribution, or administrative operations, consistent with the single-segment determination described in Note 12. None of the Company's subsidiaries files a separate annual report with the trustee under the indenture governing the Senior Notes, because each remains a subsidiary guarantor whose financial results are presented only on a consolidated basis in these financial statements. Management reconfirmed during fiscal 2024 that the guarantor group described in Note 6 is unchanged from the prior fiscal year, with no subsidiary added to, or released from, that group during the year.

Variable Interest Entities

Management again evaluated during fiscal 2024 whether the Company holds a variable interest in any entity that would require consolidation, or disclosure, under ASC 810, Consolidation, including with respect to the municipal conduit issuer of the Industrial Revenue Bonds described in Note 6 and Note 20. Management reached the same conclusion reached in the prior fiscal year: the conduit issuer is not a variable interest entity of the Company, because its role remains limited to issuing the bonds and loaning the proceeds to the Company on a pass-through basis, and the Company holds no equity or other ownership interest in, and no power to direct the activities of, the conduit issuer. The Company has no other variable interest entity as of December 31, 2024.

NOTE 23. RECEIVABLES FACTORING AND SUPPLY CHAIN FINANCE ARRANGEMENTS

The Company is not a party to any receivables factoring arrangement, and holds its trade accounts receivable until collected in the ordinary course. Management gave this question more attention in the current year than in the prior one, for a specific reason: the growth of the single customer identified in Note 2 as newly requiring concentration disclosure increased the share of the receivable balance owed by one counterparty, and management considered whether selling or discounting that receivable to a financial institution would be appropriate. It concluded that no such arrangement was warranted, the customer's payment performance being consistent with its terms and the Company's

liquidity needs being met from the sources described in Note 15.

The evaluation under ASU 2022-04 described in Note 3 addresses the buyer side - whether the Company's own purchasing arrangements constitute a supplier finance program - and this Note addresses the seller side. Both were re-performed for the current year rather than carried forward, because the higher purchasing volume the completed capacity-expansion program required could in principle have led a supplier to introduce a financing intermediary into an arrangement that previously had none. None did: the Company continues to pay its suppliers directly on stated terms, and no third party has assumed a supplier's right to payment.

There is accordingly no facility to describe, no retained interest in transferred receivables to measure, and no recourse obligation to disclose as of December 31, 2024. Management notes one development relevant to why the question does not arise: with the expansion program substantially complete, the call on cash for capital expenditure fell materially from the prior year, so the circumstance in which a manufacturer most often turns to receivables financing - funding construction while receivables build - had passed before the current year began. The revolving facility described in Note 6 remains the Company's sole source of revolving liquidity.

NOTE 24. SELLING, GENERAL AND ADMINISTRATIVE EXPENSE COMPOSITION

Selling, general and administrative expense comprises compensation and benefits for sales, finance and administrative personnel (Note 19), the management services fee described in Note 10, professional fees including the audit fees for the audit described in the Report of Independent Auditors above and ordinary-course legal fees, and the depreciation and amortization attributable to office equipment, furniture and fixtures and the corporate office lease described in Note 7. Two components moved noticeably during the year. Legal and professional fees rose, reflecting the negotiation and resolution of the customer claim described in Note 9, which was still an unresolved assertion at the prior year end. Recruiting and relocation costs fell, the hiring associated with the capacity expansion having concluded.

An expense is classified within this caption, rather than within cost of goods sold, when it relates to the sales, marketing, finance, legal, human resources or executive functions rather than to manufacturing - the same function-based basis used in Note 4's depreciation discussion and Note 12's significant segment expense disclosure. The current year required one classification judgment the prior year did not: the personnel who commissioned the expanded production lines transitioned during the year from project roles to operating roles, and the compensation of those employees moved correspondingly from the capitalized and manufacturing-function treatment described in Note 4 into either cost of goods sold or this caption according to the function each individual actually assumed.

Advertising and Marketing

Advertising and promotional costs are expensed as incurred under ASC 720-35 and are included in this caption. The activity remains trade publication advertising, industry trade show participation, and maintenance of product literature and the Company's website; none of it is direct-response advertising within the narrow circumstances in which capitalization would be permitted, so no such cost was capitalized. The mix within the year shifted toward customer-specific technical literature supporting the products made on the newly completed lines, and away from the general-audience trade advertising that predominated while that capacity was being built. Total cost remained immaterial to results of operations.

NOTE 25. EXPORT CONTROLS AND INTERNATIONAL TRADE COMPLIANCE

Substantially all revenue is generated within the United States (Note 12), so the Company's exposure to the Export Administration Regulations administered by the U.S. Department of Commerce and to the sanctions programs administered by the U.S. Department of the Treasury's Office of Foreign Assets Control is limited. The Company maintains a trade compliance policy covering the incidental export sales it does make through the independent distributor network described in Note 2, and screens counterparties against the applicable restricted-party lists before shipment. The screening population grew during the year as that distributor network expanded, and management confirmed that the additional counterparties were brought within the same pre-shipment screening step rather than handled as exceptions to it.

No violation of, and no inquiry or enforcement action under, U.S. export control or sanctions law was identified during the year or was outstanding at December 31, 2024. Management reviewed whether the higher shipment volume the completed expansion produced had changed this assessment and concluded it had not, because the increase was delivered to domestic customers; the proportion of revenue generated outside the United States, disclosed in Note 12 as immaterial, did not increase.

Raw materials are sourced principally from domestic suppliers (Note 3 and the Concentration of Suppliers section of Note 2), which limits exposure to import-related trade measures including tariffs. That exposure was tested in a way it had not been previously: the expanded operation consumed materially more raw material than in the prior year, so a tariff or other import measure would now affect a larger cost base. Management reviewed the sourcing of the incremental volume and confirmed it was met from the same domestic supplier base rather than by importing, and identified no U.S. trade policy development during the year that it expected to have a material effect on cost of goods sold or revenue.

SUBSEQUENT EVENTS

Management's subsequent-events review, performed under ASC 855, Subsequent Events, extends through the date these financial statements were available to be issued, and sorts what that review finds into two categories. A recognized subsequent event supplies additional evidence about a condition that already existed as of the balance

sheet date, and the financial statements are adjusted to give effect to it. A nonrecognized subsequent event instead reflects a condition that first arose after the balance sheet date; it is not recorded in the financial statements themselves, but is disclosed in the notes when omitting it would leave the financial statements misleading to a reader relying on them.

The Company evaluated subsequent events through the date these financial statements were available to be issued. Subsequent to year end, a nationally recognized rating agency published a periodic surveillance review of the Company's outstanding rated indebtedness; the review did not result in a rating action, and, because it arose after the balance sheet date rather than providing additional evidence about conditions that existed at that date, is disclosed here as a nonrecognized subsequent event rather than recognized in these financial statements.

Apart from the matter described above, that same review identified no other event or transaction occurring after period end that required recognition in, or disclosure within, these financial statements, whether arising from the Company's operations, its financing arrangements described in Note 6, or otherwise. The review specifically considered whether any post-period-end event, alone or together with other conditions or events, raised substantial doubt about the Company's ability to continue as a going concern for the twelve months following the date these financial statements were available to be issued, and management concluded that no condition or event, individually or in the aggregate, raised such doubt.